School of Management
Blekinge Institute of Technology

# ICT in Marketing

## A Study of The Use of Internet and Mobile Phones in Five Selected Companies in Dublin

Author: Alexander Oyetunde Oshunloye
(730827-P217)
oshunalex@yahoo.com

Supervisor: Thomas Danborg

Thesis for the Master's degree in Business Administration
Spring 2009

# Abstract

**Title**: ICT in Marketing: A Study of The Use of Internet and Mobile Phones in Five Selected Companies in Dublin

**Author**: Alexander Oyetunde Oshunloye

**Supervisor**: Thomas Danborg

**Department:** School of Management, Blekinge Institute of Technology

**Course**: Master thesis in business administration, FE 2413, 15 credits (ECTS)

**Background and Problem Discussion**: According to Paulina, George and Nikolaos 2007, companies still fall short of their target, despite advancements in ICT marketing. Information and communication technologies (ICTs) like CRM, ERP and Intranet are considered important for creating competitive advantage. Despite their rapid deployment rates, only a few studies mainly from the information technology (IT) and engineering literature have been devoted in uncovering the factors that influence the diffusion of new information technologies and their proper use within an organization. Similarly, empirical studies regarding the impact of ICT diffusion and their proper use in organizations seem limited.

A research by Butler 1995, indicated that the increasing popularity of the Internet as a business tool can be attributed to its current size and prospected growth, as well as its attractive demographics. The Internet's potential to provide an efficient channel for advertising and marketing efforts is overwhelming, and yet no one is really sure how to use the Internet for these activities.

Even in advanced economies, for example, Canada, mobile marketing is still an emerging technology (Kinetix Media Communications – (Accessed 16/03/08).

In an attempt to fill this research void, the study examined the implementation of ICT tools within marketing-related functions. By providing answers to focus questions using empirical methods (questionnaires and interviews), the study tries to discover the consequences of ICT diffusion in these functions. The findings would provide another insight into the use of ICT tools in marketing as well as their impact on organizations.

**Purpose**: Looking at the motivation above it becomes obvious that companies are still not able to practice - to a high advantage, the use of ICT in marketing. What the study seeks to see, is the use of ICT in the selected companies in terms of whether they use it basically/extensively, which tool of ICT is used more (internet, or mobile phones) and why, and the positive impact it may have had on the value of the company in general.

**Method**: Theoretical and empirical analysis were basically used (questionnaires and interviews). Questionnaires were drawn up and administered in selected companies. The data that were collected seek to answer such questions as below.

Data that were collected related to the internet (websites and E-mail marketing)/mobile phone use (sms and mms marketing) and came in form of questions like – how often is the website updated?, how fast on an average does the website download?, how is the design of the website perceived (whether plain, navigation friendly, high design? etc. Similar questions were asked about mobile phones.

**Theory**: The theory section in the literature review looked at different methods and techniques used in delivering and evaluating the use of ICT in marketing, in terms of internet use and mobile phone use. This will also seek to use available literature to throw more light into better more informed use of the mentioned medium in ICT. The literature also related the importance of internet and mobile phone marketing to CRM in terms of eCRM (electronic customer relationship management).

**Analysis**: Data were interpreted and analysed using the appropriate statistical methods. This related to the initial questions as to how the statistically derived results reflect what is being asked and suggestions given based on the available literature as to where/what to improve on.

**Conclusion**: The survey results and analysis show that the companies under study use ICT in their marketing but not maximized in terms of the use of emails and SMS/ MMS. The study revealed that most of the companies have a working website but that a more advanced website use is yet to be achieved in terms of the website presentation and capabilities. The Internet has dynamic capabilities and despite ICT diffusion in organizations it is yet to be fully exploited to create value for money and a competitive advantage.

# Acknowledgements

I wish to thank my family – my wife, Princess and my kids, Alexis, Daniel and Raymond for their immense support during this academic pursuit. My kids always knew when daddy was studying and kept it quiet. My wife, for her emotional support and encouragement.

I want to say a big thank you to my lecturers (the academic staff of BTH) and the administration (non-academic staff) that made sure I got the best of both sides in the course of this study, mainly Klaus Solberg for pushing me to limits to give my best in the thesis and my supervisor Thomas Danborg for his guidance throughout the study.

My thanks also go to the Swedish Embassy, Dublin for their timely assistance in writing my comprehensive exams, where Cecilia von Mentzingen the Student Affairs Officer was instrumental to its success.

I also want to thank my good friend, Patrick Etaferi for chipping in some important advice every now and then throughout the programme.

Finally, a big thanks to all those not mentioned above.

God blessings to you all.

**Alexander Oshunloye**
**February 2009**

# Dedication

**I dedicate this research work to almighty God for giving me the wherewithal, knowledge, mental, and physical strength to complete this MBA degree.**

# List of Abbreviations

(1) ICT – Information and Communication Technology.
(2) eICT – Internet Information and Communication Technology.
(3) MICT – Mobile Information and Communication Technology.
(4) CRM – Customer Relationship Management.
(5) eCRM – Electronic Customer Relationship Management.
(6) SMS – Short Messaging Service.
(7) MMS – Multimedia Messaging Service.
(8) IT – Information Technology.
(9) ERP – Enterprise Resource Planning.
(10) MOIS – Marketing Oriented Information System.
(11) ISP – Internet Service Provider.
(12) B2C – Business-to-Business.
(13) B2E – Business-to-Employee.
(14) GSM – General System for Mobile Communication.
(15) WAP – Wireless Application Protocol.
(16) GPRS – General Packet Radio Service.
(17) 3G – Third-Generation Mobile Communication System.
(18) PDA – Personal Digital Assistant.
(19) SMEs – Small and Medium Enterprises.
(20) EIS – European Innovation Scoreboard.
(21) RSS – Rich Site Summary.
(22) SFA – Sales Force Automation.
(23) IMC – Integrated Marketing Communications.
(24) GPS – Global Positioning System.
(25) ICP – Internet Content Providers.
(26) KPIs – Key Performance Indicators.
(27) CSI – Customer Satisfaction Index.
(28) CRI – Customer Retention Index.

# Table of Contents

CHAPTER ONE.....1

1.0 INTRODUCTION.....2

1.1 MOTIVATION, PURPOSE, AND JUSTIFICATION.....2

1.2 SURVEY FOCUS.....3

1.3 BACKGROUND TO THE RESEARCH.....4

1.4 eICT and mICT.....5

1.5 OUTLINE OF RESEARCH PRESENTATION.....13

CHAPTER TWO.....15

2.0 LITERATURE REVIEW.....16

2.1 ICT DIFFUSION.....16

2.2 ICT IN MARKETING.....17

2.2.1 A STUDY BY BENGTSSON, ET AL.....20

2.2.2 A STUDY BY ADAM STEWART, ET AL.....21

2.2.3 A STUDY BY RUTH RETTIE.....22

2.3 EMAIL MARKETING.....24

2.3.1 EMAIL MARKETING TIPS BY CAROL ELLISON.....25

2.3.2 EMAIL MARKETING FREQUENCY.....29

2.3.3 BUILDING YOUR EMAIL REPUTATION.....30

2.4 SMS MARKETING.....31

2.4.1 SMS ADVERTISING.....35

2.4.2 MMS MARKETING.....36

2.4.3 MOBILE INTERNET.....38

2.5 MOBILE BANKING.....39

2.6 METRICS OF EFFECTIVENESS.....40

2.6.1 KEY PERFORMANCE INDICATORS.....41

# Table of Contents Continued..

2.6.2 COMMON MEASUREMENTS OF PERFORMANCE.....41

2.6.3 MARKETING EVALUATION.....42

CHAPTER THREE.....44

3.0 METHODOLOGY.....45

3.1 SURVEY OBJECTIVES.....45

3.2 DATA COLLECTION.....46

3.3 STATISTICAL TECHNIQUE.....46

CHAPTER FOUR.....48

4.0 ANALYSIS.....49

4.1 SURVEY RESULTS.....49

4.1.1 DATA DISPERSION.....53

4.2 eICT AND mICT ANALYSIS.....54

4.3 FOCUS QUESTIONS.....56

CHAPTER FIVE.....58

5.0 FINDINGS, RECOMMENDATIONS, AND CONCLUSIONS.....59

5.1 FINDINGS AND IMPLICATIONS.....59

5.2 RECOMMENDATIONS.....60

5.3 CONCLUSIONS.....61

REFERENCES.....62

APPENDIX A – SURVEY QUESTIONNAIRE.....67

APPENDIX B – RESPONDENTS.....70

APPENDIX C – INTERVIEW QUESTIONS.....82

APPENDIX D – PROOF OF VALIDITY (EMAILS & IP ADDRESSES).....83

# List of Tables

TABLE 2.0 KEY MOBILE ADVERTISING TERMS.....32

TABLE 4.0 SURVEY DATA ANALYSIS.....50

TABLE 4.1 TWO QUALITATIVE QUESTIONS.....52

TABLE 4.2 eICT (EMAILING) RELATIONSHIP WITH ICT IN GENERAL.....54

TABLE 4.3 mICT (SMS/MMS) RELATIONSHIP WITH ICT IN GENERAL.....55

# List of Figures

FIGURE 1.0 RESEARCH PRESENTATION.....14

FIGURE 2.0 THE PYRAMID OF THE EFFECTS OF I.T ON BUSINESS.....16

FIGURE 2.1 WORLD INTERNET USERS BY WORLD REGION.....18

FIGURE 2.2 INTERNET USERS IN THE AMERICAS.....18

FIGURE 2.3 INTERNET USERS IN EUROPE.....19

FIGURE 2.4 EFFECTIVE EMAIL MARKETING.....30

FIGURE 2.5 MEASURING CUSTOMER SATISFACTION.....42

FIGURE 4.0 GRAPH SHOWING PERCENTAGE SCORE OF Qi TOTAL (A & B).....51

FIGURE 4.1 GRAPH SHOWING PERCENTAGE SCORE OF Qii TOTAL (A).....51

FIGURE 4.2 GRAPH SHOWING PERCENTAGE SCORE OF Qii TOTAL (B).....52

FIGURE 4.3 GRAPH SHOWING RELATIONSHIP BETWEEN eICT & ICT.....55

FIGURE 4.4 GRAPH SHOWING RELATIONSHIP BETWEEN mICT & ICT.....56

# CHAPTER ONE

## INTRODUCTION

***"From the understanding of complex customers to the design of Marketing-orientated information systems (*M.O.I.S.*)" -*** (Gourvennec Yann A.)

# CHAPTER ONE

## 1.0 INTRODUCTION

This introductory chapter provides an insight into the research area, evaluation of companies who use ICT (information and communication technology) in their marketing. Brief discussion of the background to the research, problem discussion, overall purpose and justification of the study will be revisited. The outline of the study is also presented.

This research focuses on the evaluation and examining of selected companies in Ireland in relation to the use of the internet and mobile phones in information and communication technology (ICT) marketing. As a global developed market in europe, this will prove to be representative of other developed markets.

This thesis investigates the use of ICT in marketing in companies, the variations and combination of their use of ICT tools like, internet, emails, sms, mms and other methods they may prefer. According to Gourvennec Yann A., (1996, p. 3), "Marketing is a very broad ranging discipline which is undergoing radical changes. The approach that should be adopted by Marketing management in the 21st century is conditioned by the deep social and cultural changes that we are going through at the end of this century. It is also greatly impacted by the significant alterations of today's business practices".

In a world where change is constant and is also happening at a quickening pace, it seems fundamental to us that Marketing be placed within the big picture of strategic management. The *vision* for the future of the firm is central to this approach (Gourvennec Yann A., 1996, p3).

## 1.1 MOTIVATION, PURPOSE, AND JUSTIFICATION

According to Paulina, George and Nikolaos (2007), companies still fall short of their target, despite advancements in ICT marketing. Information and communication technologies (ICTs) like CRM, ERP and Intranet are considered important for creating competitive advantage. Despite their rapid deployment rates, only a few studies mainly from the information technology (IT) and engineering literature have been devoted in uncovering the factors that influence the diffusion of new information technologies and their proper use within an organization. Similarly, empirical studies regarding the impact of ICT diffusion and their proper use in organizations seem limited.

A research by Sarkar, Butler and Steinfeld (1995), indicated that the increasing popularity of the Internet as a business tool can be attributed to its current size and prospected growth, as well as its attractive demographics. The Internet's potential to provide an efficient channel for advertising and marketing efforts is overwhelming, and yet no one is really sure how to use the Internet for these activities.

Even in advanced economies, for example, Canada, mobile marketing is still an emerging technology (Kinetix Media Communications - www.kinetix.ca - Accessed 16/03/08).

In an attempt to fill this research void, the proposed study would examine the implementation of ICT tools within marketing-related functions. By testing a number of hypotheses using empirical methods (questionnaires and interviews), the study would discover the consequences of the use of ICT diffusion in these functions. The findings would provide another insight into the use of ICT tools in marketing as well as their impact on organizations.

Looking at the motivation above it becomes obvious that companies are still not able to practice - to a high advantage, the use of ICT in marketing. What the study seeks to see, is the use of ICT in the selected companies in terms of whether they use it basically/extensively or properly/improperly, which tool of ICT is used most ( internet, or mobile phones) and why, and the positive impact it has had on the value of the company in general.

The presence of IT in marketing is basically strong in the collection of information, statistics, market surveys, and executive information system and marketing orientated information system (M.O.I.S),(Yann A. Gourvennec, 1996).

Companies that will be investigated would include, clothing, food, financial and retail.

Based on the literature available, advice can now be given in areas of weakness as to the tools different companies use.

## 1.2 SURVEY FOCUS

This thesis will seek to answer the following questions about the companies under study empirically:

1) How is internet marketing (website and email) used?

2) How is mobile phone marketing (sms and mms) used?

3) What is the percentage use of internet marketing to mobile phone marketing?

4) Is ICT basically or maximally used?

5) What ICT are predominantly used in the companies and why?

6) What are the companies doing right or wrong in the use of ICT?

The above questions were answered by the use of theoretical and empirical analysis, basically (questionnaires and interviews). Questionnaires were drawn up and administered to the selected companies. The data that were collected seek to answer the questions above.

Data collected will relate to the internet (websites and E-mail marketing)/mobile phone use (sms and mms marketing) and came in form of questions like – how often is the website updated?, how fast on an average does the website download?, how is the design of the website perceived (whether plain, navigation friendly, high design? Etc. Similar questions will be asked about mobile phones.

Data were interpreted and analysed using the appropriate statistical methods. This related to the initial questions, as to how the statistically derived results reflected what is being asked and suggestions given based on the available literature as to where/what to improve on.

This research work will prove valuable in further investigating the use of certain ICT tools like the internet and mobile technology and throw more light on its appropriate use based on its literature review.

The **limitations** will however be because of financial constraints in sampling and travelling to companies of interest that are far way.

The **delimitation** is the deliberate sample size to avoid analysis of vast data that may obstruct other form of studies on the course and also because of the difficulty to get companies large or small to answer surveys - unlike individuals.

## 1.3 BACKGROUND TO THE RESEARCH

There is a conundrum presented for marketing organisations that set out to use a global medium to communicate primarily with local internet users or prospective customers and clients, who may well click for global information search using two fingers, but who in reality are not properly communicated to or over/under communicated to. Thus, an important issue this paper addresses is whether ICT use in marketing is carried out optimumly for best results of desired revenue and profit.

In the past years, business and government have been using the internet, they have struggled to accommodate this new interactive medium in their integrated marketing communications (Hofacker and Murphy, 1998; Dholakia and Rego, 1998), or broadly use the medium as a direct response tool (Adam, 2001), and more particularly as a relationship management aide (Adam, Mulye et al., 2001; Kenny and Marshall, 2000).

Newer online business models have generated a great deal of news media attention (Argy and Bollen, 1999; Rappa, 2001), consulting firm input (Andersen Consulting 1998; KPMG, 1999; Ernst and Young, 2000) government endorsement (Henry, Cooke et al., 1997; NOIE, 2000), academic attention on marketing communication (Novak, Hoffman and Yung, 2000; Hoffman and Novak, 1996; Hofacker and Murphy, 1998), business processes such as exchanges (Klein and Quelch, 1997), alliance co-ordination (Steinfeld, Kraut et al., 1995) as well as trust and commitment (Ang and Lee, 2000) in online relationship management (Adam, Mulye and Deans, 2001).

Specific benefits are put forward for business use of the Web. These may be grouped as *productivity based* and *revenue-growth based* (Hanson, 2000) and include: global presence; establishing and maintaining a competitive edge; shortening or eradicating components of supply chains (disintermediation); cost savings; and a research advantage.

The views put forward by Rayport (1999) and Porter (2001) contrast with those of Ng, Pan et al., particularly in the way the former authors suggest that Internet marketing organisations have failed to seek strategic advantage, and in the way they have encouraged their own judgement on spurious financial outcomes. The conflicting views put forward by e-Commerce aficionados and the more circumspect management strategists concerning the internet's role in business further confirm the need for inter-country studies of the strategic use of the Internet.

Beyond business use, we have seen recently a U.S election campaign by now president **Barack H. Obama** (2009), focused on using the power of the internet to organize, reach-out and execute many agenders sucessefully. This is the marketing strenght of ICT which should never be overlooked.

In this study we are focusing on the use of ICT in some selected companies in terms of whether they use it basically/extensively or properly/improperly, which tool of ICT is used most ( internet, or mobile phones) and why, and the positive impact it may have had on the value of the company in general.

In looking at the usage and impact of ICT, we need to sub-divide ICT into two, namely: **eICT and mICT - PC internet and mobile internet.**

For the purpose of this study, ICT will relate mainly to the use of internet via personal computer (PC) and mobile phones, where the central subject is “internet marketing”. Internet marketing may be defined as the use of the internet for marketing of products, or services, sold either on the Internet or through traditional channels.

The focus is on consumer Internet marketing, although it is estimated that by 2002 business-to-business will exceed consumer e-commerce. (Activ Media, 2001).

## 1.4 eICT and mICT

Adopting the Internet for advanced marketing operations opens up challenging opportunities for firms of all sizes.

The Internet has become an important medium with a wide spectrum of applications used by private persons, firms and organizations. The easily accessible application introduced initially for basic information exchange is now widespread and it is apparent that most firms use electronic mail and many have company presentations on websites. The process within a firm of investing in the equipment necessary to utilize the potential of the Internet as a business instrument, and not least the process of developing competence and routines for ‘Internet management’, is often a process that develops successively in sequential steps over time (M. Bengtsson et al., 2007).

**eICT** – will refer here, to **emailing and website use** to communicate with customers and prospects. Before going further into this topic, it is essential to re-iterate that there are anti-spam laws that email marketers should follow, ultimately for consented communication with customers and prospects.

Susan Singleton, a seasoned solicitor who specialised in IT, Competition Law (both in UK and EC), in her book Email: Legal Issues (2004), wrote a report which addresses the principal issues which arises and the means to ensure enforcement; in particular by presenting to employees a coherent email and Internet use policy so they know where they stand in using email technology to a company's benefit and not otherwise which may raise legal issues.

However, there is much to be gained and this shouldn't put companies off its successful use. Once this is in place, a marketing department of a company would be concious of creating avenues in their marketing and on-line materials where customers and potential customers can consent to being in their email lists for communication in the form of newsletters, promotions, adverts, CRM (customer relationship marketing/management) e.t.c. Emailing perhaps has become more important and widely in use for CRM purposes.

Email marketing is, as the name suggests, the use of email in marketing communications. In its broadest sense, the term covers every email you ever send to a customer, potential customer or public venue. In general, though, it's used to refer to:

- Sending direct promotional emails to try and acquire new customers or persuade existing customers to buy again.
- Sending emails designed to encourage customer loyalty and enhance the customer relationship.
- Placing your marketing messages or advertisements in emails sent by other people. (Email Marketing Reports - www.email-marketing reports.com/intro.htm).

Joel Goldstein, *president* Goldstein Group Communications, Inc. (April 2004), in an article on email marketing success (*Next marketing*), gave some guidelines. In his words, “email campaigns have become tremendously popular with companies seeking to "mine" their in-house lists for more sales, as well as acquiring new customers through rented lists.

The reason they're gaining in use? They're affordable, targeted and effective. But email as a tactic has come under attack recently both within and outside the marketing profession. Email marketing, when executed properly—and legally—continues to generate response rates that rival other business-to-business techniques, at a cost-effectiveness that will continue to attract marketers for some time to come”. He went on to give six tips for succesfull email campaigns:

1. Be sure to include multiple offers/response tools in your emails. If it's a newsletter, include a variety of articles, banners and offers that might appeal to recipients on a variety of levels.

2. Identify offers that have the most appeal for your audience base. For engineering and technical audiences, they respond particularly well to offers for white papers, handbooks and other "how-to" information.

3. Include quote buttons or "have a rep call me" so you're able to generate the highest quality leads. This is particularly important for internal list promotion; since you already have contact information, the goal of an internal campaign is to identify those who are ready to buy as well as further build brand preference.

4. Ensure that there is graphic and message consistency between the email and the company's website and other programs. An email campaign that matches the messages, themes and graphics of direct mail, advertising and trade show graphics acts to reinforce and add leverage to the entire campaign.

5. Ensure Ihat the subject line is not only relevant to the email offer (now a requirement of the new CAN-SPAM law), but is also powerful enough to encourage the recipient to open the email. Avoid certain words in the subject line, such as win, free, sweepstakes, or prize, as email spam filters today routinely search out emails with those words in the subject line for immediate deletion.

6. Contract with an outside service provider rather than distribute the emails on your own. Mass distribution of emails in groups larger than 100, even when it's to an internal sales force or other internal group, can trigger filters at certain Internet Service Providers that are on the watch for mass spam emailers. These ISPs can put your entire domain name on a blackball list that rejects ALL email from that domain address.

Joel, further writes that using these techniques by his agency has generated the following response rates for:

166 different email campaigns that comprise promotions to both rented and internal list:

**6.59%** - Overall Click-Through Rate (CTR).
**13.55%** - CTR to internal email lists.
**3.48%** - CTR to rented lists.
**1.80%** - Average "unsubscribe" rate.
**9.00%** - Average undeliverable/reject rate—internal lists.

While the intent of the recent CAN-SPAM anti-spam law was to protect consumers, the ultimate result of the law is likely to have little effect. Legitimate business-to-business email marketers were, in fact, already adhering to guidelines for honest and ethical promotion. The mass consumer market spammers, who were distributing up to 1 million emails *daily* offering diet aids and other unwanted offers, were not following regulations before the law was passed, and are unlikely to do so afterward.

For those of us adhering to proper email etiquette and promotion, CAN-SPAM'S requirements are relatively simple to follow and pose no threat to the effectiveness of email marketing.

According to Joel, *Next Marketing* (April 2004), some have been predicting the demise of email promotion, but as Shakespeare would likely have said, we think predictions of email's death are greatly exaggerated. However, three proposals are being discussed in the industry to deal with the crush of illegal spam:

• **Caller ID.** This system, proposed by Bill Gates, functions as telephone Caller ID works, so spammers can't hide behind anonymous/unknown names posted in the "From" address field in an email.

• **Sender Policy Framework (SPF).** AOL began testing this system, which works similarly to Caller ID within the AOL network.

• **DomainKeys from Yahoo!** This is based on a cryptography technology that generates a unique signature to verify an email sender's identity. This, however, is the most technically complex of the three alternatives. Regardless of its shape in the future, email marketing represents one of the most exciting and powerful modes of communication with new and existing customers, employees and communities.

While it's technically complex, the methods and procedures that make any form of marketing effective apply equally as well to email. Email will remain a marketer's favorite for some time to come.

**Website** use on the other hand has now developed to have various interactive usage, unlike when it was just to give universal access to information. Websites have developed to eCommerce usage, social networking and the likes, with some websites having inbuilt applications e.g for graphic design, online customer customization, for example, www.print24.ie and www.dell.ie respectively.

Despite its dynamism and difussion in this 21st century, websites are still under utilized and left most times as just a symbol or logo.

Web designers normally come accross the following questions:
**I know the Internet is important, so where do I start?**
**We have a website but it's not generating much business?**
**Our website is attracting high traffic volumes, but few sales?**
**We'd like to develop our online marketing skills in-house - can you help?"**

Now that you've recognised the increasing prominence of the Internet for business, you need to consider how your existing - or new - business will operate online. You might want to revisit the original reasons why you developed a website in the first place, or look at the website design and its usability to see how this meets the needs of your potential customers.

Next, look at your online marketing plan and how effective this is. If you've not done so already, you could test the market with a pay-per-click advertising campaign or develop the search engine optimization of your site - (Web Marketing Workshop – www.webmarketingworkshop.com.au/marketing-solutions.php).

Sometimes, your online and (offline) marketing is working well but your website is failing to attract the right prospects, or is not living up to their expectations. Analysing your visitors traffic can provide clues on the way people are using your website, but you might need to review your website usability or conduct some user research (Web Marketing Workshop – www.webmarketingworkshop.com.au/marketing-solutions.php).

Ultimately, you should always review your Internet Marketing approach which includes email marketing, on-line market campaigns – which suits your business's objective and budget, and carry out extensive site analysis and user trend. Some technologies this days can even let you see a video recording of how a visitor uses your site in term of pages visited, clicks, time spent on your pages/site etc. - see www.clicktale.com.

Having a successful website is not easy but as we all know success doesn't come easy. Nonprofit organizations usually does not see the need for extensive website visibility. “If you build it, they will come" does not apply to Web sites (Marketing Your Organization's Web Site – www.coyotecommunications.com/webdevo/webmrkt.shtml).

Marketing your Web site is as important as designing it -- how will you get people to visit your marvelous information if they don't know about it?

According to Jayne Cravens of Coyote Communications (2009), “You need an ongoing, integrated approach; promoting the web site at a nonprofit organization, NGO, school or other mission-based organization is *everyone's* task, from the person who answers the phone to the executive director. The more valuable your website is for your organization's donors, volunteers, other supporters, potential supporters, clients and the general public, the more effective your marketing efforts will be. Also, you don't just want new visitors; you want RETURN visitors”.

Cravens goes ahead to say that “the most effective marketing strategies for your web site actually don't have as much to spending money as they do with a mindset that must permeate your organization -- every staff member must feel ownership in the web site and see exactly how it serves not only the entire organization, but his or her department or division of work in particular”.

In view of this, there are many offline and online marketing techniques that keep visitors coming back which translates to successfull accomplishment of the purpose of the website.

Eiledon Solutions, published an article on their website in 2005: Benefits of Having a Website. The 12 benefits that may stimulate a company's best efforts in making their website work for them is listed below:

**1. Far Cheaper and Much More Flexible Than Print Advertising:**

The Internet is extremely different from print advertising in that **space is cheap**, your advertisement is **accessible** for a longer period of time, the **content can be changed** without having to ask someone to do it for you (if you use a content management system) and you can potentially reach a **wider audience**.

This is not to say that you should not use other forms of advertising at all – You can **use it to entice people to visit your website** and find out about your company and potentially open two-way communication between the potential customer and a sales person.

**2. Market Expansion:**

The Internet has allowed businesses to **break through the geographical barriers** and become accessible, virtually, from any country in the world by a potential customer that has Internet access.

**3. Diversify Revenue Streams:**

A website is not just a medium for representation of your company, **it is a form of media** from which everybody can acquire information. You can **use this media to sell advertising space** to other businesses.

A recent trend has risen where businesses feature their **very own directory of complimentary services**, where the visitor can search for information on a business that will enhance the use of your service. The business sells complimentary businesses a listing in their directory. A good example is a catering company featuring a directory with businesses such as event co-ordinators, electronic equipment rental companies, etc.

**4. 24-7-365:**

**No more turning customers away** when its time to close shop, putting up a note saying "closed for public holiday", or leaving an irritating message on your answering service specifying your trading hours – tell them to visit your website for information they are looking for.

**5. Offer Convenience:**

It is **far more convenient** for a person to research a product **on the Internet** than it is to get in a car, drive somewhere and look for or ask someone for information on a product. Also, a potential customer won't have to judge a call centre agent to determine whether he/she has their best interests in mind, or just wants to make a sale. The potential customer can visit your website **whenever** they like in their **own privacy and comfort**, without the **stresses and distractions** that exist in the "real world".

**Your website is a self-service medium** – for example, instead of having to wait in a long cue to pay your TV Licence, you can now do it electronically through the TV Licence website.

**6. Add Value and Satisfaction:**

By offering **convenience**, a **point of reference** and that touch of **individualised customer service**, you ultimately add value to your offering and your customers experience a higher level of satisfaction.

Your website can add value in other ways too, by featuring tips, advice and general interest content you can **“entertain” your customers**. This will also help them remember you better.

**7. Standardize Sales Performance:**

By looking at which approaches / pitches have worked in the past and those which have not, you can **produce the ultimate pitch and use it with your website**, so that you use it on every customer. No more training of sales people and waiting for them to get a feel for your line of trade.

**8. Improve credibility:**

A website gives you the opportunity to tell potential customers **what you are abou**t and **why you deserve their trust and confidence**. In fact, many people use the internet for pre-purchase research so that they can determine for themselves whether a particular supplier or brand is worthy of their patronage, and won’t take them for a ride.

The Internet also allows for **Viral Marketing** – where your website visitors spread positive **word-of-mouth** about your business - **your customers do your marketing**!

**9. Promote your “Brick ‘n’ Mortar” Presence:**

Getting lost trying to find a place can be frustrating for a potential customer. You can publish what they call a **“dummy map”** on your website, which shows directions and landmarks graphically, and the potential customer can print it out when looking for your “Brick ‘n’ Mortar” premises.

You might advertise a promotion on your website **encouraging the visitor to visit your “Brick ‘n’ Mortar”** premises (eg. “At a branch near you!”).

Also, if you recently moved to a new location, you will have to wait for the next 'phone directory to come out before people figure out where you currently are. Because **a website is flexible** – you can change the content as you like – you can **change your contact details instantly** and lower the risk of losing customers when moving to a new location.

**10. Growth Opportunity:**
A website serves as a great place to refer **potential investors** to, to show them what your company is about, what it has achieved and what it can achieve in future.

**11. Two-Way Communicative Marketing:**

Customers can **quickly and easily give feedback** on your product and/or marketing approach.

**12. Affordable Market Research:**

You can use features on your website such as **visitor polls, online surveys** and your **website statistics** to find out **what your customers like** more and **how they feel** about certain aspects of your business to determine how you can improve your product and the way you do business.
Website statistics show you **how much traffic** your website receives, **how the visitor got to your website** and **where, geographically**, the visitor is from. (Benefits of Having a Website - 2005 – www.eiledon.co.za/webmarketing12-benefits-of-having-a-website.htm).

In view of the substantial and rapidly growing Internet audience, several firms have quickly adopted the Internet as a means to conduct marketing communications economically and effectively. Nonetheless, while most companies have felt compelled to establish an Internet presence, they have failed to create a website with substantive features and capabilities (Deans, Kenneth R. - 2003 p.105).

This research will in this area try to know how they have used and are using the Internet in this present time.

**mICT** – will refer here, to **sms and mms** use (short message service & multimedia message service) to communicate with customers and prospects. Like earlier said, it is essential to have consented communication with customers and prospects.

With well over a billion handsets worldwide, mobile phones have been one of the fastest adopted consumer products of all time. According to a study by Telecom Trends International, global revenues from m-commerce – that is, transactions over mobile networks – could grow from $6.8 billion in 2003 to over $554 billion in 2008 (Barnes Stuart, and Scornavacca Eusebio, 2006, p.7).

Although developing along separate paths, mobile communications and the Internet have started to converge. The products of the partnership between mobile devices and the Internet are sophisticated wireless data services, centering on mobile data access and electronic messaging on mobile devices.

The market for these sevices is diverse, and the most commonly cited applications are in the business-to-customer **(B2C)** and business-to-employee **(B2E)** segments. Such applications are built on some fundamental value propositions, such as ubiquitous access to information, the personal nature of the devices, customization, and contextual properties of the device and user, such as time, location, personal preferences, and the task at hand.

In the consumer space, the wireless applications have included **person-to-person** messaging, email, banking, news, games, music, shopping, ticketing, and information feeds. In the business space, applications include sales force automation, navigation, tracking, field force automation, wireless telemetry, and the mobile office (Barnes Stuart, and Scornavacca Eusebio, 2006, p.8).

**Short message service (SMS)** is a very clever and economical resourse that was designed back in the 1980s when GSM specifications were taken from CNET (the research centre of France Telecom) and redeveloped as a worldwide standard. These services have been tremendously successful and **multimedia messaging (MMS)** will have the same success. For the same network resourses as a telephone call, SMS services provide about 100 times more revenue to the operators (Henry-Labordere, Arnaud & Jonack, Vincent – 2004).

Currently, when a telephone call is made to any number in the world, the called party is reached. For SMS, this is not yet the case because of lack of connections, lack of commercial agreements, and differences in standards among GSM (Global system for mobile communications), IS-41 (CDMA & TDMA – used in the U.S), and others, including Japanese standards. While developing solutions to interwork SMS and later MMS, several non-standard procedures were implemented to provide termination and two-way SMS, such as the dynamic reply path procedure (Henry-Labordere, Arnaud & Jonack, Vincent – 2004).

**MMS** technology has been introduced with the development of **GPRS** networks and handsets which provides GSM subscribers with the ability to send messages that are a combination of **text, images or video, and sounds** (Henry-Labordere, Arnaud & Jonack, Vincent – 2004).

Multimedia messaging service (MMS) is the evolution of basic text messaging services into a wide range of multimedia content and services delivered to a mobile device (Ralph, Daniel and Graham, Paul (2004).

MMS, is still widely in testing and operators are weighing the benefits to them and the users. Also MMS enabled phones are more expensive with some of them having emailing facilities. The believe is that it will become as widely used as the SMS in the near future.

Wireless Access Protocol **(WAP)**, is also part of the mobile technology which allows mobile phones to have Internet use capabilities, for downloading, browsing etc. Some companies now even develop their websites to render well on mobile devices, ranging from 3G, to iphones, PDAs, smart phones and so on.

All this has made it obvious that there is more to be exploited in the use of this ICT media with wide/high business applicability which can translate to huge profits for comapnies if properly used.

## 1.5 OUTLINE OF RESEARCH PRESENTATION

This research is presented in five chapters comprising of Introduction, Literature Review, Methodology, Analysis, and Findings, Recommendations and Conclusion. Below is a diagram vitualizing the research presentation:

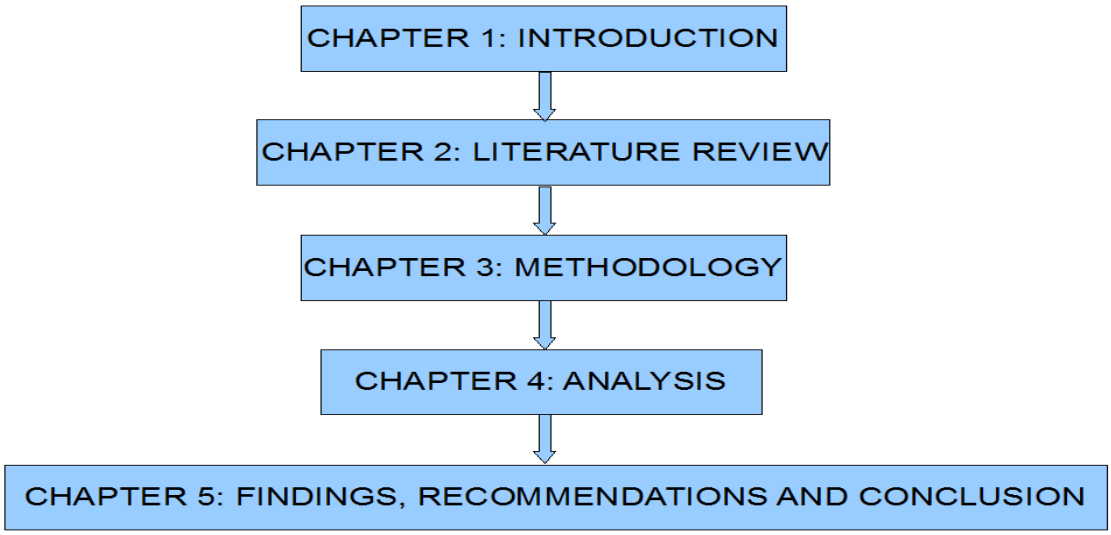


***Figure 1.0: Research Presentation***

Chapter one, which is already presented, provides an introduction to the entire research work and more importantly states the purpose of the work and its justification. Chapter two gives an overview of literature and past research work related to the subject area while providing a setting for and connection to this current research. This gives background information required for the understanding of the entire work.

Chapter three describes and motivates the research methodology used for this research while chapter four presents and evaluates the results empirically obtained from the research.

Chapter five further discusses the findings from results obtained from the research work and attempts to critically explain them and any deviations from previous studies. This chapter also presents recommendations for further studies on the conclusions made on the entire research work.

# CHAPTER TWO

## LITERATURE REVIEW

***"Gains in marketing knowledge without application are missed learning opportunities" -***
(Roger J. Best)

# CHAPTER TWO

## 2.0 LITERATURE REVIEW

This chapter gives an overview of the literature and past research work related to the subject area while providing a setting for and connection to this current research. This gives background information required for the understanding of the entire work.

The chapter will begin largely with past studies in the area of ICT as a whole and then of its components; namely, Internet (Website & Emailing) and Mobile communications (SMS & MMS).

## 2.1 ICT DIFFUSION

ICT has diffused in various ways over the years but still have a long way to go in achieving perfection or near perfection. In a speech at Harvard in 1990, *Michael Porter* was insisting upon the crucial role that IT would play in the 1990's. According to him, the mastering of the processes, the access and the circulation of Information had become fundamental in the acquisition of a competitive advantage across one's industry - or even across industries when they are competing with one another. Moreover, he established that there existed a hierarchy of the effects of the implementation of Information Technology. We described these effects below:

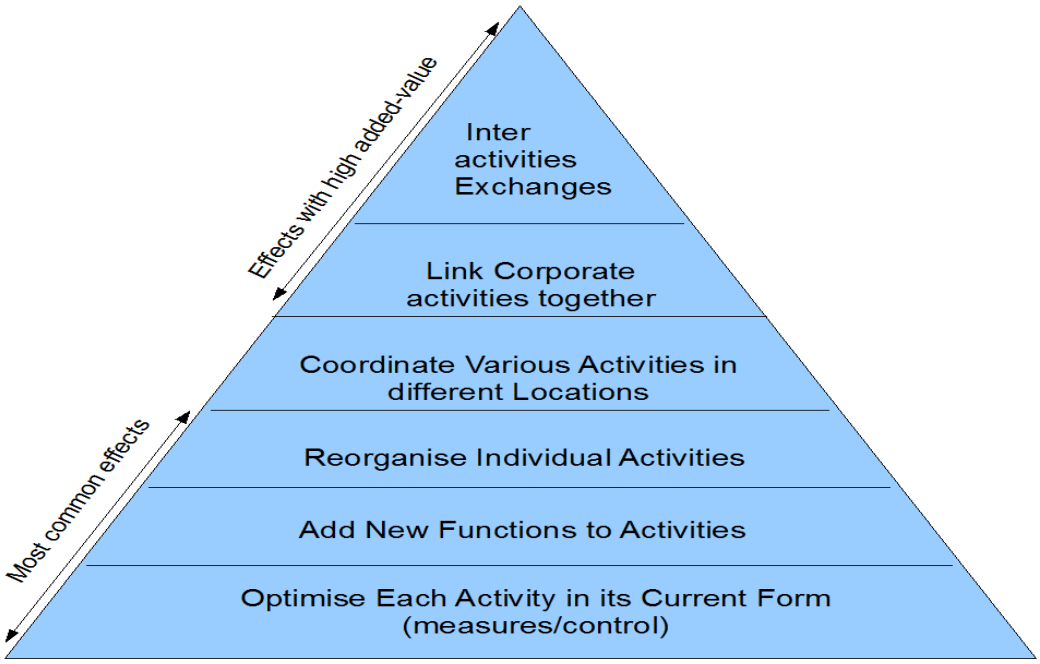


***Figure 2.0: The Pyramid of the effects of IT on businesses***

The presence of IT is strong in marketing – in the area of collecting information, analyses, data mining, statistics, market surveys, information dissemination and Executive Information Systems and Marketing Orientated Information Systems. These are the major event in the informational revolution of Marketing (*Yann A. Gourvennec, 1996)*.

Having said all that it is important to note the distinction between Information and Information Technology. According to *Yann A. Gourvennec, 1996,* because of the prevailing role that IT is playing at the end of this century, on the changes in behaviours on organisations, there is a tendency to exaggerate the importance of technology itself. Technical problems become the focal point, and the basics are often shifted to the background. Not to mention the reason why the Information System has to be built in the first place.

The approach, on the contrary, is not to focus on the tools (i.e. IT) that transfer Information, but instead on the understanding of the big picture of the Information System. A holistic approach must be applied at all times to achieve best results.

## 2.2 ICT IN MARKETING

ICT in marketing has come of age and organizations of various sizes employ various ICT techniques. According to *Judith Redoli et al., 2008,* it is widely accepted that both "innovation in-house" and "innovative small and medium enterprises (SMEs) co-operation" require for SMEs to use information and communication technologies (ICTs). Moreover, ICT expenditures are productivity improvement drivers by themselves.

That is, the use of ICTs can be considered as key factors for innovation and entrepreneurship. ICTs are a must for SMEs to innovate. In fact, a look over the fifth edition of the European innovation scoreboard (EIS) reveals that there is a big innovation gap between Europe and the U.S that is not closing.

It is not surprising that most Internet marketing studies are conducted solely from the United States' perspective given that North America accounts for over 248 million people using the Net, representing about 23.1% of all Internet users (about 1.1 billion) – with over a third of these in the United States (*www.internetworldstats.com/stats2.htm#americas*), and over 40 million U.S citizens buying on-line (*webstatistics.com*).

An estimate 220 million people use the internet in the U.S, and Internet users in Europe represents 26.3% of the world usage (*www.internetworldstats.com/stats14.htm*). The rate at which internet users are growing definitely makes it a viable tool for marketing. The growth rate between 2000 – 2008 in the Americas and Europe is 206.9% and 266% respectively. The diagrams below illustrates this:

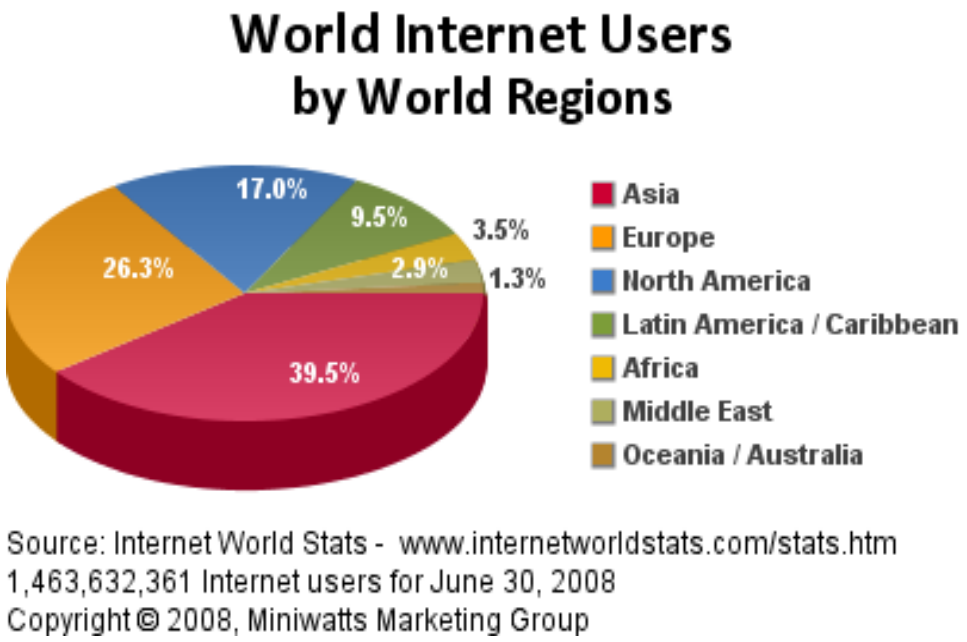


***Figure 2.1: World Internet Users by World Region***

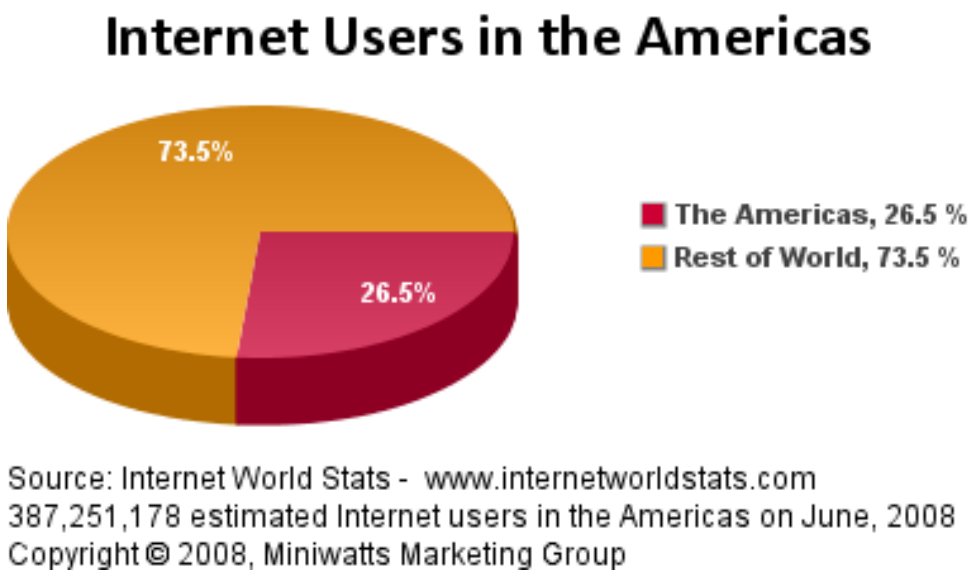


***Figure 2.2: Internet Users in The Americas***

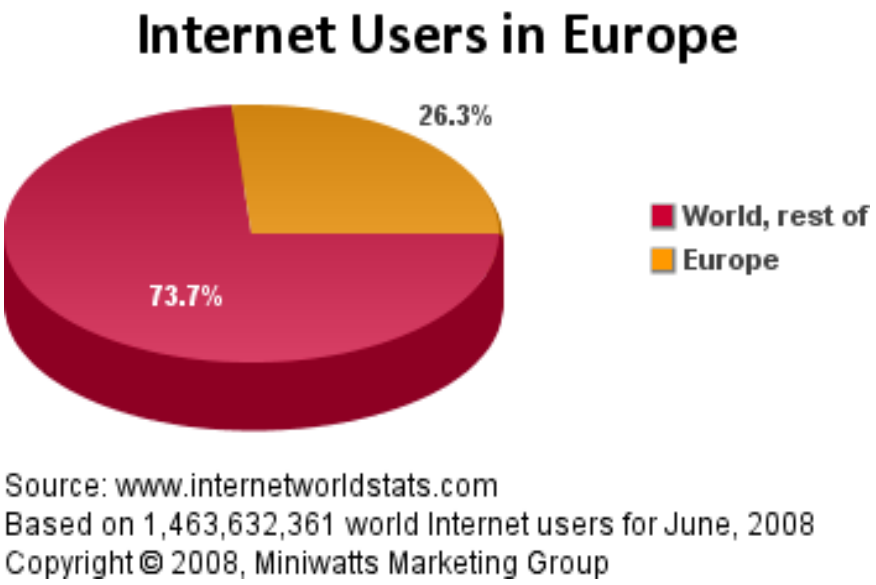


***Figure 2.3: Internet Users in Europe***

The growth rate in Europe is higher than that of the Americas between 2000 – 2008 but various articles and research show that the know-how is yet to be perfected.

This growth rate in Europe is interesting because this study focuses on selected companies in one of the European states (Rep. of Ireland), and would be nice to know if it is reflected positively in this study.

According to *Bengtsson et al.,* (2007) the process of adopting and developing Internet applications in firms can be very rapid because of the international diffusion of computer and Internet technology. Furthermore, stage models are derived mainly from studies of small and medium-sized enterprises (SMEs). Similar adoption processes also take place in large organizations but are weakly covered in the literature.

Studies suggest that a more basic use of the Internet is adopted before more advanced applications are developed. However, they neither elaborate adequately on the challenges of introducing more advanced applications, nor on how the introduction of different innovations is stimulated or hindered. **Basic use of the Internet** includes **online presentation of the firm, its products or services, and simple information exchange via email**. **Advanced use of the Internet** assumes more sophisticated **two-way interaction and data processing**, and includes **online ordering and payment, collecting feedback from customers and integrating the homepage with the firm's internal functions** (*Bengtsson et al., - 2007*).

A number of studies have only focused on basic use of the Internet but have only touched upon its advanced use, or have not distinguished clearly between the two (*BarNir et al., 2003; Cohen et al., 1987; Höst et al, 2001*).

However, the distinction between basic and advanced use of the Internet is significant and has far-reaching implications for the adoption process. Lets look at some earlier studies in this area before moving to more specifics like, emails and SMS/MMS.

### 2.2.1 A STUDY BY BENGTSSON, ET AL

A study by *Bengtsson et al.,* (2007), analyses survey data from 379 Swedish manufacturing firms. The results of the analysis show that composition of factors on which firms base their decision to adopt advanced Internet-based marketing operations varies significantly with firm size. The aim of the study was thus to further elaborate on drivers behind the development of advanced Internet use. They chose to focus on one specific advanced use of the Internet, namely the use of **Internet market channels**.

While adopting the Internet for basic purposes does not require major investments or organizational changes, adopting advanced Internet operations as a market channel might require the firm to change its established channels of distribution and routines, sustain short-term losses, and also require significant competencies and financial resources.

Data for this study was collected through the sampling of Swedish firms located in four different regions. These different types of industrial context represent one metropolitan area and three provincial regions in the south, north and middle parts of Sweden. The firms are active in six traditional industrial sectors – wood, publishing/ printing, chemicals, metal, machinery and electrical equipment. The questionnaire together with an explanation of the study were mailed to the firms. It was underlined that it was important that the questions should be answered by the person responsible for marketing or the marketing manager in the respective firms.

It was considered that the project is relatively tightly connected to aspects of the Internet technology linked to marketing and that the person responsible for the marketing function also normally has the greatest insight and knowledge about these aspects.

The way the above research was conducted is related very much to this one in some aspects like who the questionnaire should be administered to and the central topic (i.e ICT in marketing). In this research the questionnaires were administered to the Marketing/IT department of the selected companies. The differences however, were in the way the questionnaires were administered. In this research the questionnaires were administerd via an email link that directs to the questions on-line and the sample size.

Largely, the above research findings and conclusions came up with: **size** is positively associated with the adoption of the advanced Internet-based marketing operations. This present research is to find out how the selected companies use ICT and for advice to be given based on available literature in areas of short-comings.

### 2.2.2 A STUDY BY ADAM STEWART, ET AL

In another study by *Adam, Stewart et al.,* (2001); information was provided on business use of the Internet (Net) and World Wide Web (Web) across three countries *viz* Australia, New Zealand and the United Kingdom (UK), and explores reasons for observed differences in use. The study reports that UK firms are more likely to use the Internet in relationship management than are Australasian firms. The conclusion drawn is that while there is less sophisticated business use of the Internet by Australasian companies relative to UK companies, this is but one reason for lower household penetration of the Internet and lower online purchasing levels.

In this paper they compared the countries using comparable sample bases, questions, and time frames. This comparison was needed because of systemic differences between countries in terms of household ownership of computers, Internet usage and online purchasing, and it is necessary to know if these differences reflect differences in strategic Internet use by the companies in these countries, whether cause or effect. There are reasons put forward for the lower Australasian usage, particularly lower online purchasing, such as "distance from major markets, the early stages of eCommerce adoption, and much higher levels of consumer concern about Internet security".

This above study also show that there was a possible technological reason for this difference in that only 1.5 percent of Australian households have broadband access, compared with 11 percent of households in the United States and 57 percent of Korean households.

There is a conundrum presented for marketing organisations that set out to use a global medium to communicate primarily with local Internet users, who may well click for global information search using two fingers, but who in the main still shop on two legs at the local level. Thus, an important issue the above paper addresses is to explore whether or not lower Australasian consumer usage of the Internet is a result of less sophisticated business usage of the Web relative to the United Kingdom, or for some other reason.

The data for this paper has been pooled from two studies conducted by the authors: the 1999/2000 Australasian WebQUAL Audit (Adam and Deans, 2000), and a 1999/2000 study in the United Kingdom (Palihawadana and Nair, 2000).

The UK study was carried out in 1999/2000 with the key objectives of ascertaining the characteristics of firms that have adopted the Internet in business-to-business marketing, and to examine and evaluate the variety of uses, and the extent, to which Internet is used in marketing by business-to-business organisations in Britain.

The above study is important to the present study presented in this research in that in as much as companies may adopt the best ICT practices, its use by the **public** may be hindered by believes and **no-how** which may result in lowered effectiveness and altimately lowered profit generation for companies and benefits for customers.

### 2.2.3 A STUDY BY RUTH RETTIE

A study by *Ruth Rettie,* (2001): *How Will the Internet Change Marketing?* This paper attempts to categorize some of the ways in which the Internet will transform marketing. Three sources of change are identified: Cultural change, marketing management change and marketing in the new medium - Internet marketing.

The study indicates that the Internet clearly has a role in marketing strategy, both as a segmentation and targeting instrument, and as a vehicle for market research (secondary research, online surveys, online focus groups, email panels, etc.). It can also augment the traditional areas of operational marketing: promotion, distribution, product and price.

The Internet was initially seen as a new advertising medium, with web sites as virtual perpetual posters, and banner advertisements as the gateways to these web-sites. Despite declining click-through rates and the use of traditional media by Internet businesses, online advertising is growing rapidly, with revenue for 2005 projected at $16.5 billion. There is evidence that advertising banners work better as virtual 'posters' than as gateways, with the branding and image enhancement effect being up to 10 times the clickthrough rate.

The potential of the Internet in many other areas of promotion is also being recognized. The Internet is a low cost direct marketing tool (for example, email marketing), it can be used for P.R., sponsorship and for building brand image (for example, Pepsi's association with music sites to enhance its young image). The potential of the Internet as an intermediary was quickly recognized.

There were predictions electronic commerce would lead to the emergence of new types of electronic intermediaries: virtual malls, electronic 'brokers', rating services and automated ordering services. The Internet is also a low-cost and efficient distribution medium for information-intensive products such as news, software, music and video.

In the study it was indicated that Slywotzky (2000) introduces the concept of the 'choiceboard' whereby consumers design their own products (e.g. Dell's on-line computer configuration), and predicts that by 2010 choiceboards will be involved in 30% of US commerce.

At the same time, the Internet enables new pricing mechanisms such as variable pricing (e.g. airline seat pricing) which theoretically increases both volume/utilisation and profit, and auctions, where prices are determined by the bidding of consumers or manufacturers.

The Internet has the potential to be a powerful customer service tool, because companies can use it to provide 24/7 product and service information, and can develop customer relationships, all at relatively low cost.

The cost of an email is a fraction of a letter, and the cost of an Internet 'chat' is a fraction of a telemarketing call. The medium can also provide virtual evidence of intangible services, so that, for example, one can now see online insurance policies and bank accounts. Mobile Internet creates further opportunities to improve customer service. In the US Starbucks are running a trial allowing users to pre-order their drinks. Consumers send SMS text messages while walking to the coffee shop, so that their drinks are waiting for them when they get there.

While the above study elaborates on the importance of ICT in marketing it also indicates that there are some threats; the Internet has also been seen as a threat, particularly to brands, making brand strength weaker than ever before. Virtual communities members focus less on the brand and more on product and service features. Internet supports highly rational shopping, encouraging dispassionate comparisons of prices and features, which may undermine brands based on facts.

New marketing techniques have appeared. These include viral marketing, (which uses email to spread messages without cost from consumer to consumer), guerrilla marketing (which uses underhand tactics such as 'dropping' brand names in chat rooms), permission marketing (in which relevant targeted messages are sent to consumers with their prior permission, Godin (1999) and affiliate marketing, where sites carry links for associate sites and share the revenue generated.

The digitisation of the Internet enables the recording, analysing and understanding of consumer decision-making behaviour. Analysis of web-site logs enables the marketer to identify relevant consumer behaviour, for instance the precise point at which potential consumers lose interest (currently about 66% of browsers who commence an online purchase leave the site before completing a purchase). In some cases these details can be used to create future sales, as a result of this analysis Amazon.com created "Wish Lists" and an 'advise when stock is available' facility.

Digital technology enables concurrent customization, so that one can customize the Internet site, the market research survey or the service offered during the marketing interchange. For example, recognizing from his online behaviour that the user is very price conscious, he may be offered a better deal; recognizing that the user is a novice or has an out of date computer, the site is tailored to his ability or technology level.

With the development of mobile and PDA Internet, segmentation and targeting can include time and place.

In concluding the finding in the above research it is indicated that the Internet is revolutionizing marketing, radically changing the relationships between consumer, intermediary and manufacturer. The Internet allows companies to address consumers individually and interactively, developing relationships and facilitating targeted marketing. Consumers are now able to play a **pro-active role**.

The above study is very important to the present research work because it highlights the importance of **properly incorporating** a working and effective ICT strategy in marketing in organizations of today.

To further understand the study's scope and objectives, details on email, SMS and MMS marketing is described below.

## 2.3 EMAIL MARKETING

Email marketing is argueably the most used and fastest way of getting information, mostly marketing information to a targeted audience today. eICT comprises of e-marketing in which email marketing is one of its tools.

In an article by *Kristina Joukhadar,* 2006: *E-marketing in an Integrated World* – where she spoke to circulation directors on both consumer and b-to-b print publications and Web sites; findings were that email marketing and e-newsletters run the gamut from a small part of the marketing process to a full-blown, money making product channel. Everywhere, it seems, email techniques are being used to save money and grow new revenue.

Leonard Timm, director of circulation for the Interiors division, *Vance*, says the majority of emailings they do are print-magazine related email newsletters. Most are supported by advertising, either within the newsletter or on the web site. During the email newsletter start-up phase, says Timm, the company used three different vendors. Now to gain quantities of' scale, they use one (EmailLabs – email software). The email sys-tem gives the capability to compose the copy and creatively send out the emails and get the statistics back. It provides counts on delivered copies, opens and click throughs. According to Timm the idea is email as an integrated whole.

Carmel McDonagh, circulation director, *Federal Computer Week,* says Federal Computer Week may soon be the first b-to-b magazine to claim 100 percent demographics on its email file. The focus on profiling enables a high level of list segmentation and testing of new products and we've been pretty successful with email newsletters. The print magazine has 10 email newsletters affiliated with different demographic segments of its subscriber file. One third of the company's online revenue comes from its email newsletters. All are also available as RSS. "We can switch rather quickly and set up the format with RSS," says McDonagh. RSS can't be tracked at this point, though. "No one is sure of the click through rates, because the Web crawlers skew the RSS traffic and the hits. We don't know how many are actually opening and reading it.

Charles Fuller, senior VP business development, *Entrepreneur Media*, says, email marketing and e-newsletters have paved the way to a growing print circulation, a sponsored email program and an ancillary book business. We use it to help with retention efforts and to drive people to the site, and for e-commerce, partnerships, and transaction-oriented events. We can market to other lists also, for example, for events that need special demographics, overlaying beyond the confines of the list.

The Web strategy is to cover every segment they can, casting as wide a net as possible. "We go after individuals in the marketplace, targeting certain psychographics, like people wanting to start a business, either a home-based business or a hardcore small to mid sized business of from 20 to 100 employees," Fuller says.

*Entrepreneur* uses its email newsletters to extend the brand name, to build a relationship with its readers and allow them to consume the content in a different form. They signed with Avantgo a month ago to put their wireless content on its service. The service is free, and the registration is very thin—email, name, demographics. His idea is an entrepreneural spirit of email marketing.

*The above three snapshots of how some print market leaders use the email/website in marketing shows its viability as part of a major marketing strategy.*

The Internet/Emailing awareness in 2006 saw the Irish Internet body employ **CheetahMail.** According to the article in *PrecisionMarketing,* (2006), **The Irish Internet Association (IIA)** has appointed Experian owned email marketing and Web analytics company CheetahMail to bolster online communication with members. The IIA's inhouse team will use CheetahMail's targeting and segmentation features to create highly personalised email campaigns - based on member demographics, preferences and online behaviour. Extensive campaign testing is to take place, allowing creative work to be refined for maximum impact. Fergal O'Byrne, chief executive of the IIA, comments: "CheetahMail will help us to champion a best-practice approach to email marketing."

Generally, email is now more popular and widely used than direct mail. According to a research by Precision Marketing in partnership with CCB (Coad, Cole and Burey), 2005 – email has overtaken direct mail as consumers' preferred method of marketing communication. An article by Travel Trade Gazette, 2006, says, email can help win over youth market. Branwell Johnson, in the article, pointed out that, youthful consumers prefer to receive their marketing by email – but it is vital as a brand to win their trust before filling up their inboxes.

*The above buttresses the point of how seriously various organizations are taking steps to utilize the internet and its emailing capabilities to its maximum and most importantly, to do it right.*

### 2.3.1 EMAIL MARKETING TIPS BY CAROL ELLISON

The day of the pitch has passed. Best practices in email marketing demand communications that go beyond advertising, respect the customer, and speak in a familiar one-on-one style. “Email is the most personal advertising medium in history”, says *Seth Godin*, whose book *Permission Marketing* set the rules that transformed email marketing into what it is today. “If your email isn’t personal, it’s broken.” In response to the impersonal abuses of spam, email marketing became personal by necessity following the 2003 adoption of the CAN-SPAM Act of then U.S president, George W. Bush.

The act essentially defined spam as marketing messages sent without permission and set penalties not only for spammers, but also for companies whose products were advertised in the spam. Smart marketers, recognizing that people's aversion to spam destroyed the customer loyalty they worked so hard to build, had already begun to address the problem with best practices that focused on permission. Today, what's best is often defined by the size of your company and the industry you're in. But a few core practices hold for everyone.

Carol Ellison, a freelance writer in a Customer Relationship Management (CRM) magazine, 2006, gave eight simple email marketing tips, which if followed can prove to be very helpful in any email marketing campaign. The 8 tips are quoted directly below:

**1) GET PERMISSION:**
"Email is one of the most powerful and yet one of the most dangerous mediums of communications we have," says Jim Cecil, president of Nurture Marketing, a customer loyalty consultancy in Seattle. "Virtually everyone uses it and in business-to-business marketing everyone you want to reach has access to email. It's also very inexpensive and it can easily be built into existing marketing systems. But of all media, it is the one where it's most critical that you have explicit permission." Without permission you not only risk losing customer goodwill and inviting CAN-SPAM penalties, you could end up blacklisted by ISPs that refuse all mail coming from your domain if spamming complaints have been lodged against you.

Permission is not difficult to get. Offer something of value—a coupon or promise of special discounts, a whitepaper or informational newsletter—in exchange for the customer agreeing to receive your messages and, often, to provide valuable personal information and preferences. Sign-up can be done on a Web site or on paper forms distributed at trade shows and conventions or by traditional mail, resellers, and affiliated organizations in a business network.

**2) BUILD A TARGETED MAILING LIST:**
"The very best way to get permission is to have your best customers and your biggest fans ask their friends to sign up," Godin says. It results in a self-screened database of prospects who are probably interested in your offering. That is how Tom Sant built a mailing list that now numbers 35,000 for his newsletter, *Messages That Matter.* According to Sant, author of *Persuasive Business Proposals* and *Giants of Sales,* "We simply began by following up with people we met at trade shows or on sales calls and asked them, 'Would you like to get a tip from us every few weeks about how to do your proposals better?' We made it clear that people shouldn't be getting this if they didn't want to."

Sant includes a Subscribe link in his mailing so new readers have a means of signing up when their friends forward it to them.His mailing list "just grew organically," he says,"because people would pass it around.We created an entire network of people who were getting these messages. It's very effective and it's enabled us to strengthen our position as thought leaders or recognized experts in the field."

**3) WORK WITH A CLEAN, TARGETED DATABASE:**
Jack Burke, author of *Creating Customer Connections*, advises that you should work with the cleanest permission-based list you can find that is targeted to your industry and your offering. Many companies have this information in CRM, SFA, and contact management databases. But there are places to prospect if you don't.

"A good place to look is with traditional, established data merchants for your industry," Burke says. In the insurance industry, for instance, Programbusiness.com allows its members to send broadcast emails to its database of some 50,000 targeted subscribers and members have the opportunity of selecting subsets of addresses categorized by insurance type such as commercial, health, life, and auto. Coregistration services Web sites, such as www.listopt.com or www.optionsmedia.com, can help. Coregistration simply means you offer your e-zine and email promotions through a registration form that appears on multiple sites.You should, however, do some research to ensure they will reach your targeted demographics and the lists are maintained.

"Too many companies, large and small, are under the illusion that they have the email addresses of their clients," Burke says."If you actually go in and audit their client databases, you'll find they're lucky to have 20 to 25 percent—and what they do have is often out of date."

**4) ADOPT A STRATEGY OF PERSISTENCE:**
It takes time to build customer relationships. "They used to say it takes something like 7.3 impacts to make an impression with an ad, and that was long before the Internet. I believe today it's approaching 20 imprints before it makes an impression," Burke says. "So if you aren't touching your clients in some way at least once a month, chances are they're going to find somebody else to do business with."

"After the customer has registered for future emails, downloaded your whitepaper, or entered your sweepstakes, there often is nothing to enhance that relationship. Companies need to think about what should happen next," says Jeanniey Mullen, partner and director of email marketing at OgilvyOne Worldwide. Ogilvy's research shows the first three emails are the most critical. Mullen advises there should be an introductory message in which customers accept an invitation and give permission for future communications, followed by a second that sets up customers' expectations by explaining future benefits (discounts, coupons, or high-value informational newsletters). The third should begin to deliver on their expectations by sending the promised newsletter, whitepaper, or discount offering.

**5) TELL A STORY:**
In *All Marketers Are Liars,* Godin emphasizes the importance of storytelling as a successful marketing strategy. Email offers the opportunity to tell the story in continuous installments. "Email marketers don't have a prayer to tell a story," Godin says, "unless they tell it in advance, in another medium, before they get permission. Otherwise, it quickly becomes spam. The best email marketing starts with a foundation, like Amazon, and uses the email to drip the story, to have it gradually unfold."

Too much email marketing, Burke opines, is one-off offers written as if recipients "like to run home at the end of the day and turn on Home Shopping Network so they can be targeted 24x7 by commercials." A well-crafted newsletter should be more than just a summary of your resume or company history. For instance, each issue of Sant's *Messages That Matter* offers a free tip or strategy on how to make business proposals sing. "We focus on providing specific content, messages of a page or so about the kinds of things we're good at," Sant says.

**6) LET READERS DRIVE DESIGN:**
As there's no such thing as guaranteed delivery in the email business, design is especially important. Because filters often block logos, graphics, and Flash animation, they can determine whether or not a customer or prospect even sees your message. "Filters are getting extremely thorough in what they're filtering out," Burke says. "If you're not careful, those filters can filter out legitimate email." He recommends using flat text with hyperlinks to your Web site. "It's text so it'll go through," Burke says. "You can put all of the graphics in the world on your Web site and once they click through to your Web site you're better able to capture their identity and their information for future follow up."

Many companies offer both plain and rich text email editions, giving customers the option of registering for the html edition on their Web sites. In those editions, design becomes especially important. But Ogilvy has found that email requires something different than traditional creative marketing design: Its studies have shown that users are most likely to respond to images and copy to the left of an image. "We have seen increases up to 75 percent in response rates by moving the call to action button up next to an image instead of below the image, or by literally changing a link to a button so it stands out more prominently in the text,"Mullen says.

She has also found that the use of industry-, company-, and brand-specific words and phrases enhances the response. For instance, the word *advice* generates a high response for companies considered to be the thought leaders of their industry, but companies with consumer products, such as Apple with its iPod, will generate a better response using words like *new* or *sleek*.

**7) HAVE AN EXIT STRATEGY:**
People who gave you their email address did so because they wanted to hear from you. But that can change and often does. "If they stop responding," Mullen says, "chances are it's for one of two reasons: either they're not interested in your content anymore or they're no longer getting your emails. "In either case we recommend that you define a set number of nonresponse messages [after which you] stop sending them emails. It sends a negative brand message and it doesn't do anything to help reestablish your relationship with them,"Mullen says.

That number differs by industry.Travel companies, for instance, cannot predict when their customers will be traveling and looking for discounts on rooms and airfares, so their horizon is much longer—as long as several years. On the other hand, a high-tech B2B company is probably only going to want specific information on wireless security when it's addressing the problem internally.

After the problem is solved, continued mailings about wireless security are likely to irritate. Devising a successful exit strategy is much like determining a successful formula for content: Know your industry.

**8) BEST PRACTICES — KNOW WHAT YOU WANT:**
The key to maintaining a set of successful best practices is to know what you want from them and be prepared to rewrite them as your business needs change.Mullen suggests starting with a good awareness of what you want your best practices to achieve. “Identify what you will use them for, the goal of your communications, and how you’ll define the success of your campaign,” she says. “The most important element in any kind of successful email marketing is understanding and defining what your realistic strategy should be.”

### 2.3.2 EMAIL MARKETING FREQUENCY

Email marketing frequency is also a very important aspect to look at. According to *Roger Best*, (2005), p.306, once a business has found the right combination of media to effectively reach target customers, the next question becomes how often the business needs to expose target customers to its message in order to achieve a certain level of awareness. Using too few messages may prevent information from getting through to target customers and will probably result in low levels of awareness and comprehension. On the other hand, too many exposures could irritate target customers and potentially have an adverse effect on retained information and perceptions of the ad, product, or company.

An example by Best, was AFLAC insurance, who a few years ago, had only 13 percent name recognition in the United State and was looking for an effective marketing communications campaign to cut through the clutter of mundane insurance ads and raise brand awareness. The company found what it was looking for and initially spent $35 million advertising it. The now infamous **AFLAC duck** led to more sales leads in the first 2 weeks of that year than in the previous 2 years combined, leading to record revenues. AFLAC's brand-name recognition sky-rocketed to over 90 percent, and revenues grew 30 percent every year the campaign was run. However, after several years of hearing a duck screaming “AFLAC!” in various situations, many people were finding it irritating. At some point the positive impact of such repetition will turn into negative perception of the company.

In an article by Brick Marketing, (2009) – *what is the right frequency to send your emails?* (**www.emailmarketingjournal.com**). He wrote: When it comes to email marketing it is difficult to tell someone or a company exactly what the frequency of email distribution should be. Each business and audience will react differently. It is really up to you to figure out what that perfect frequency is. The only way to really figure this out is to do as many tests as possible for a certain amount of time. keeping track of all statistics on *opens* and *unsubscribes* will be important. You will have to keep track of what time your email goes and then analyze the data. Your best bet is to put all the info in a spreadsheet and do this for either three or six months to be able to make an accurate decision.

After you have decided on a time frame to analyze this information, make some small changes to your distribution schedule and then analyze the numbers to see what type of significant changes that occurred from the changes that you had made. This type of testing is very important so that your business is not missing out on any opportunities. Before you do this you will need to figure out if you want to send one or two emails out per day. Once you have made this decision then you can start to perform these tests. You could also as part of your test include increasing from one to two emails per week or the other way around.

Below is a diagram by Email Marketing Journal illustrating how to launch an effective email campaign starting from **objectives**:

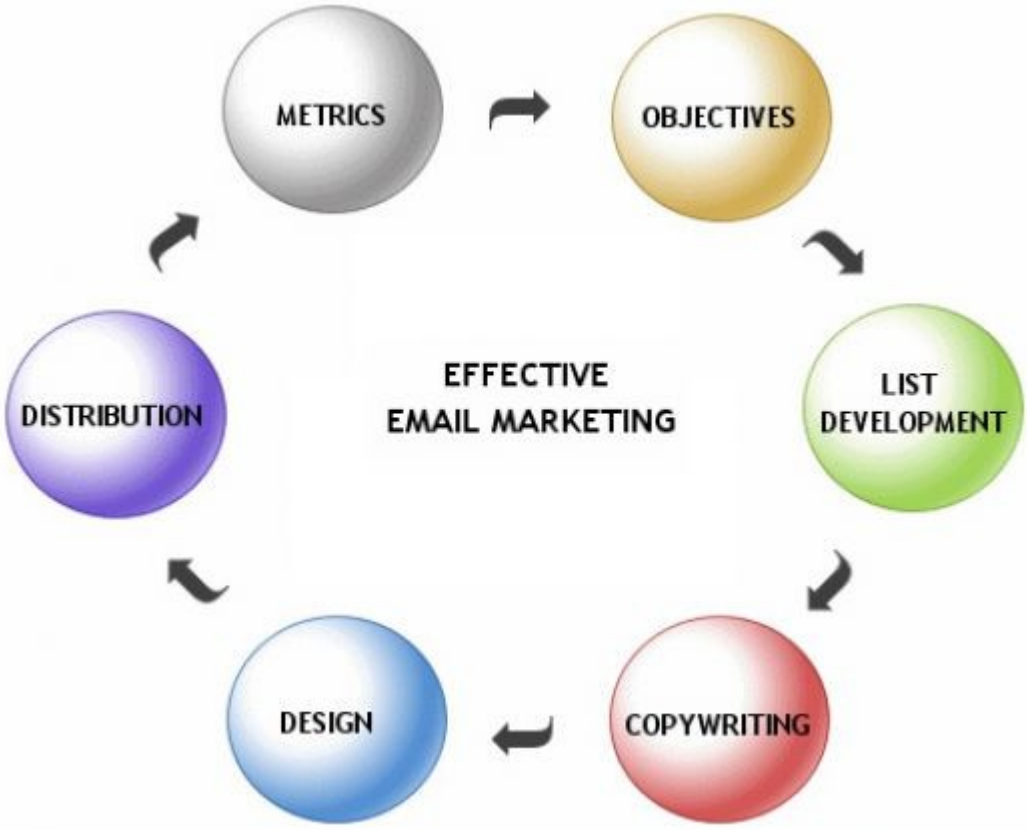


***Figure 2.4: Effective Email Marketing***

### 2.3.3 BUILDING YOUR EMAIL REPUTATION

"Understanding developments in the enterprise/corporate environment can be enormously helpful in pursuit of best-inclass email delivery rates," says *Al DiGuido*, president and CEO of Epsilon Interactive, a provider of strategic email communications and marketing automation solutions. The latest trend in corporate filtering is reputation-based technologies that authenticate the sender using a variety of techniques that whitelist the IP addresses sending the mail.

This suggests a set of best practices, in addition to honored standards such as getting permission, to help assure deliverability. Some of these include the following:

■ Test your campaigns to ensure they'll pass traditional antispam techniques such as content filtering.

■ Send a consistent volume of mail from stable IP addresses. Sudden increases in message volume from a single address, particularly if it's new or unfamiliar, can trigger a block.

■ Contact the companies at the domains you email most often and ask that they whitelist your IP address. It could open doors elsewhere. According to DiGuido, "being on multiple corporate whitelists is sometimes used as a factor in enterprise/corporate solution reputation algorithms."

■ Test your campaigns with content filters and monitor emerging corporate solutions to better understand how they determine reputation scores.

■ Authenticate your email and implement sender verification technologies to enhance your reputation and help assure deliverability.

As genius as email marketing sounds, like search engine optimization (SEO), it takes time and perseverance to become successful.

## 2.4 SMS MARKETING

The Internet-enabled mobile phone has proliferated rapidly in many markets. Following the first release of WAP (wireless application protocol) in 1998, firms began to send news alerts and location-sensitive ads to mobile users (*Sadeh, 2002*). Because of the very personal nature of the mobile phone, the use of short message services (SMS) and multimedia messaging services (MMS) for marketing purposes has drastically increased in many parts of theworld. For example, a report issued by Portio Research indicates that the annual sales revenue of the SMS market will reach $50 billion worldwide by 2010, with some 2.38 trillion text messages sent (*Halett, 2005*).

Although MMS is currently used less, it seems clear that a rapid advancement of mobile technology will accelerate the use of visuals, videos, and music in the exchange of messages in the near future. Some marketers and agencies are taking advantage of thisgrowth by incorporating SMS advertising as part of an integrated marketing communications (IMC) strategy. According to a recent survey, 36% of marketers operating in Europe have used SMS advertising for more than one year, while an additional 39% had begun to use it in the previous six to twelve months (*Cutitta, 2005*). Recent industry reports indicate that SMS usage in theU.S.market has been catching up with the worldwide growth (*eMarketer, 2005*). Combined mobile advertising and marketing expenditures are expected to have reached $115 million and $253 million, respectively, by 2005, in conservative and aggressive scenarios in the United States. Both scenarios forecast that these figures will double by 2008 (*eMarketer, 2005*).

By 2009, the aggregate growth in the United States and Europe will exceed $1 billion, with the increasing availability of multimedia content (*TMC Net, 2006*). Although these numbers are modest compared to major media outlets, such as television, radio, and the Internet, they are representative of a trend toward growth for this new medium.

According to a European survey, 56%, 55%, and 46% of mobile users received SMS ads in Germany, the UK, and Spain, respectively, in 2003 (*van Tongeren et al., 2004*).

Table 1 below, summarizes key terms of mobile communication technology:

**Table 2.0**
**Key mobile advertising terms**

| Terms | Definitions |
|---|---|
| **3G** | Third-generation mobile communication systems. Key features of 3G systems include a high degree of commonality of design worldwide, worldwide roaming capability, support for a wide range of Internet and multimedia applications and services, and data rates in excess of 144 kbps. |
| **Alert** | Short message sent to mobile users to keep them updated about the news, weather, traffic conditions, etc. |
| **FeliCa** | A multi-functional electronic wallet with contactless electronic IC chips developed by Sony. In combination with NTT DoCoMo's “i-appli” (Java-based applications), users can use FeliCa for diverse transactions, such as commuter pass, electronic money, membership card, and movie tickets, among others, simply by waving their phone in front of enabled sensors. |
| **GPS** | Global Positioning System. A U.S. government-owned technology based on the use of three or more satellites (triangulation) to provide 24-hour positioning information that indicates the precise location of any compatible receiver unit. |
| **i-mode** | NTT DoCoMo's mobile Internet service. Its portal manages a critical mass of numerous “official” i-mode sites, including e-mail, transaction services such as ticket reservations, banking, and shopping, as well as infotainment and directory service. |
| **MMS** | Multimedia Messaging Services. A standard for telephony messaging systems that allow sending messages that include multimedia objects, such as images, audio, video, or rich text, in addition to text messages. |
| **SMS** | Short Message Service. A service for sending messages of up to 160 characters to mobile phones. |
| **UMTS** | Universal Mobile Telecommunications System. UMTS/WCDMA is the 3G wideband standard jointly developed by Europe and Japan. |
| **WAP** | Wireless Applications Protocol. De facto wireless Internet standard capable of running on top of almost any bearer service. |
| **WCDMA** | Wideband Code Division Multiple Access. Essentially the same 3G standard as UMTS. |

Source: Based on Okazaki (2006), Sadeh (2002), NTT DoCoMo (2003).

Although the figures for Italy and France were somewhat lower, aggregate data show that 47% of “Europeans” responded positively to receiving SMS advertising messages. This suggests that the acceptance of SMS advertising is beginning to grow and may have the potential to become an important new mode of interactive marketing communication.

However, academic research on mobile advertising, unlike that on Internet advertising, has seen only modest growth, perhaps because the medium is new and uncertainty remains as to how it will evolve. This makes it difficult to obtain a reliable and valid dataset to examine consumer and firm adoption behavior regarding mobile advertising. Hence, there is a strong need for empirical research in this area.

A research by *Okazaki Shintaro, Charles R. Taylor*, (2008), examines the intention of multinational firms to adopt SMS-based advertising. The firms have subsidiaries located in Spain, including companies headquartered in the European Union, Japan, and the United States. The sample has the advantage of including perspectives from MNCs (Multinational companies) headquartered in the largest economic regions of the world—Asia, Europe, and North America. The study's primary objectives are to **(1)** identify the factors influencing the firms' managerial intention to adopt SMS advertising and **(2)** test a structural relationship between these factors and managerial intention to use SMS advertising. To this end, they interviewed senior executives of MNCs operating in European markets.

For definitions associated with mobile-based advertising, they adopt classifications that are derived from general principles of direct marketing, namely the “**push-type**” and “**pull-type**” strategies. SMS mobile advertising has typically been considered an application of a **push strategy** in the mobile environment, meaning that information and marketing activities flow **from the producer to the consumer**.

In a push campaign, the marketer takes the initiative and sends messages directly to consumer regardless of whether the consumer has agreed to receive the message. Pull strategies involve sending information that is requested by the consumer.

Historically, push strategies have been associatedwith efforts to boost sales in the short term. In fact, most early mobile messages were promotional in nature, focusing on inducing an immediate purchase. In addition, firms that employ mobile campaigns can attract consumer attention and produce consumer responses to a much greater degree than through other direct marketing channels because they can engage in one-to-one dialogue with customers.

Notably absent fromnmany discussions of mobile commerce, or “m-commerce,” is the notion that brand building can occur effectively in conjunction with the use of a push strategy. M-commerce provides a unique environment in which the firm's message may facilitate the consumer going to a website, sending a text message, seeking out information from another medium, or even making a purchase. The possibility of these actions makes it more likely to build the brand in conjunction with push promotions.

The fundamental premise of their paper was that the ability to brand a product is a primary driver of the managerial intention of large firms to use SMS advertising in m-commerce.

In conclusion, their study examined the factors influencing an MNC's decision to adopt SMS-based mobile advertising in European markets. Based on literature from both academic and industry sources, they hypothesize that four factors are involved: perceptions of the ability to build the brand, location-based services, privacy/security concerns of mobile advertising, and technological conditions.

From the use of PLS (partial least square) to estimate the parameters of the proposed model, the empirical results suggest that all four factors are significant drivers of the use of mobile advertising, thus corroborating their basic premise. The finding of central importance to managers is that the single factor most correlated with the intention to adopt SMS advertising is the perceived ability to build the brand.

They noted that although the mean score for the brand building effect was modest, it has the highest impact on intention. This may indicate that the current stage of its strategic positioning is somewhat transitional: SMS may face a certain skepticism, but managers' intention to use it may actually be high. Their results are also consistent with their assertion that mobile media provide a greater opportunity to simultaneously send out messages and ask for direct response, all while helping to build the brand.

The ability of mobile advertising, under appropriate conditions (e.g., consumers opting in to receive messages from companies they like), to generate action and excitement can be capitalized on by building brand equity. Moreover, it appears that the managers surveyed subscribe to the idea that building brand equity improves firm performance. This was their major findings amongst others.

As with the evolution of advertising on the Internet, any dramatic annual increase in mobile advertising expenditures is likely to take some time. As *Barwise and Farley* (2005) noted, the use of mobile advertising by firms is still limited. However, the findings suggest that managers of firms operating in European markets perceive an opportunity to use mobile commerce as a brand-building device. Given the fundamental importance of brand-building to today's marketers, this perception bodes well for the future growth of mobile advertising. Of course, for the use of this medium to expand, marketers will have to learn how to use it properly.

In this regard, probably one of the most important implications of the present study is how to overcome consumers' negative perceptions of privacy intrusion by mobile-based promotional messages. This finding makes considerable sense, given the SPAM/SPIM epidemic, which is of great concern to consumers. Moreover, it stands to reason that consumers will be more receptive to messages for brands that they like.

The limited research available clearly suggests that opt-in approaches are more likely to be associated with effectiveness. However, it is virtually unknown why consumers choose not to opt-in or avoid mobile messaging.

Researchers should further investigate this aspect. In many respects, mobile advertising provides an opportunity both to engage in relationship marketing with customers and to build brand equity. The ability to provide an interactive exchange affords the opportunity to build excitement for the brand. More opportunities are afforded by this medium due to the availability of sending messages at any time and any place in an "always on" environment.While future technological developments may make the use of location-specific messages more common. It is clear that mobile advertising does offer some unique advantages that at least some marketers should consider capitalizing on.

### 2.4.1 SMS ADVERTISING

One of the first mobile communications technologies to be applied in marketing, SMS is a new technological buzzword for transmitting business-to-customer messages to mobile phones, pagers, and personal data assistants (PDAs). SMS advertising is now a substantial source of revenue for many operators, particularly because it has been incorporated in the "instant messaging culture" among teenagers and young professionals (*Sadeh, 2002*). One key advantage of SMS is that it can capitalize on the "always on" trend, in which people have access to the Internet virtually the entire day. SMSalso allows formore interactivity with the consumer than traditional media. Many firms deliver alerts, news updates, traffic information, or promotional coupons via SMS.

In the future, GPS (Global Positioning System) technology may also be incorporated in SMS advertising for those who seek timely information at the right place. For example, in Japan, agencies are conducting experimental transmission of location based restaurant information to public transportation users (*D2 Communications, 2005*). In this experiment, when users inserted their train pass at the boarding station, the information on their commuting route was sent to the mobile company, which in turn transmitted promotional messages of restaurants located near their destination.

Empirical studies from both academics and practitioners provide insight on some aspects of SMS advertising. In a pioneering study, *Barwise and Strong (2002)* conducted a trial of permission-based SMS advertising in the UK. On recruitment, respondents were paid cash incentives and received more than 100 messages in the six-week trial period. Almost all respondents were satisfied or very satisfied. The study finds that 81% of them had read all messages, 63% responded or took action, and 17% forwarded at least one message. Surprisingly, as many as 84% of respondents were likely to recommend SMS advertising to their friends, while 24% agreed to receive it regularly. Only 7% were likely to abandon the service. Similarly, sporadic industry surveys report a rather optimistic blueprint.

For example, an experimental survey conducted by Ericsson indicates that 60% of consumers liked receiving mobile advertising, while Quios finds that the level of recognition of mobile advertising was surprisingly high: 79% of participants recalled 60% of the advertising (*Barnes, 2002*).

In contrast, a study conducted by *Tsang, Ho, and Liang (2004)* evinces more cautious attitudes toward mobile advertising among Taiwanese. Developing a structural model that includes both utilitarian and experiential factors affecting consumer attitudes toward permission-based SMS advertising, the researchers find that **(1)** consumers generally have negative attitudes toward mobile advertising unless they have specifically consented to it, and **(2)** consumer attitudes are directly related to consumer behaviour.

### 2.4.2 MMS MARKETING

Multimedia message service (MMS) provides more multimedia communication with entertainment effects than current text-based short message service (SMS). While many reports indicate that the mobile Internet market will be huge, little is known about whether people will accept MMS (*Chin-Lung Hsu, et al., 2007*).

With the increasing number of mobile phone subscribers, usage of mobile Internet services has increased in recent years. The mobile Internet refers to mobile commerce activities, including mobile telecommunication, mobile content, entertainment service and e-commerce relying on a mobile platform. Recent statistics indicate that the global mobile Internet market is expected to reach US$ 71 billion by 2007. Among mobile telecommunications, the messaging service markets which include short message service (SMS), multimedia message service (MMS), and mobile e-mail, are growing rapidly. According to the Data-monitor, the value of the messaging market will increase from US$ 17.4 billion in 2002 to more than US$ 29 billion in 2006 (*Chin-Lung Hsu, et al., 2007*).

In mobile Internet applications, the message services have become the main revenues for telecommunication companies. In 2003, 85% of the consumers' mobile Internet usage was on messaging service and 10% and 5% was on mobile content and entertainment service, respectively. It is projected that 80% of mobile expenditures will be on messaging service by 2007.

The proliferation of mobile Internet applications has caused telecommunication organizations to extend their service scopes. With the arrival of the third generation (3G) *g*ear, MMS may become a 'killer' application for messaging services. Unlike text-based SMS, MMS allows mobile phone users to exchange pictures with sound clips on their handsets or digital cameras. MMS users send text messages as well as multimedia messages incorporating pictures, voice recordings, animated characters, and video clips to others. Users can enjoy more multimedia effects via colorful graphics and crisp sounds of MMS than text-based SMS. MMS users can also send multimedia messages to other users through Internet content providers (ICP). MMS has reshaped the landscape of mobile communication, making it more personal, more versatile, and more expressive than ever before (*Chin-Lung Hsu, et al., 2007*).

Chin-Lung Hsu, et al., (2007), in dicated that While many reports indicate that the mobile Internet market will be huge, little is known about whether people will accept MMS.

In recent years, understanding the diffusion of information technologies (IT) has been important to both practitioners and researchers. Diffusion is achieved through user adoption, which means “the acceptance into use and the continued use of a new idea or thing”.

MMS use is very dynamic and promising especially to e-commerce. According to *Gibbs Colin (2007)* mobile users in Australia and the United Kingdom can get Jason Bourne on the phone just by pressing a few buttons. Universal Pictures International is running print ads pushing "The Bourne Ultimatum" in both markets, encouraging fans to snap a photo of the ad and send the image to a short code. An algorithm technology confirms that the correct image has been sent, identifies the handset being used and responds with content - a movie trailer or wallpaper formatted for the device - or with a link leading the user to a wireless Web page.

The campaign is one example of the newest trend in mobile marketing which encourages users to interact with brands by sending photographs or videos from their telephones.

London's Craze Productions sometime ago unveiled a service that allows music lovers to snap a shot of a CD in a retail store or on a promotional poster to receive ringtones, video clips, concert tickets or more details about an artist. Motorola Inc. teamed with House of Blues to entice fans to send their mobile photos to a LED board during concerts. And Ireland's Alatto Tribes in 2006 powered the country's first interactive MMS effort, inviting users to send photos in support of the national rugby team (*Gibbs Colin 2007*).

Not only can MMS campaigns increase brand recognition and build customer loyalty, they offer a kind of de facto opt-in quality. Users are sent content, promotional materials or other come-ons only after they've submitted an image. The tactic contrasts starkly with "bluespamming," where marketers automatically deliver content to any Bluetooth-enabled handset within proximity.

Other MMS campaigns employ barcodes on retail goods and promotional materials, allowing users to send a photo of the code to a server that "reads" the image and returns content or relevant information. The Wireless World Forum predicts that 70% of consumers worldwide will use mobile 2-D barcodes by 2009, using the technology as a way to discover content instead of manually surfing the mobile Internet. "Mobile hyperlinks using 2-D barcodes, and image recognition have revolutionized how consumers access mobile content in advanced mobile markets such as Japan and Korea," World Forum Research analyst *Jan Kuczynski* said in 2007. They increase traffic for content providers, they help marketers find out more about their audience, and, most importantly, provide a great consumer experience. Mobile barcodes still face substantial hurdles in Western markets, though. The act of taking a picture of a seemingly indecipherable image and submitting it via a phone is foreign to almost all consumers. And while a host of companies have experimented with the technology, a single standard has yet to emerge that would create a uniform user experience (*Gibbs Colin 2007*).

According to *Centaur Communications*, (2005), Vodafone launched a Multimedia Messaging Service (MMS) video campaign to promote its 3G football video content in Great Britain as of April 2005. In addition, it also revealed healthy results from its previous MMS campaign, which has just ended. Vodafone believes the results prove the value of MMS marketing, which has yet to take off after initial hype around it's creative potential. The campaign to promote the operator's 3G full-track music download offering saw a 17.25% response rate, 9.14 percentage points higher than the control group that did not get the advertising.

Vodafone reported the campaign doubled the number of targeted customers downloading full music tracks. Run by Enpocket, it gave recipients a free clip before enabling them to click through directly to the music area of the Vodafone Live! portal. Meanwhile, the new campaign is to promote the operator's 3G football service. The advertisement features an animated player kicking a ball at the screen, which turns red before displaying the line - *Never miss another goal*. The next frame shows a five-second video clip of a goal being scored, before allowing click-through to the football section of Vodafone Live!. Enpocket co-founder *Jeremy Wright* said that the challenge with MMS is to use its capabilities to convey the experience being promoted.

In another report by *Centaur Communications*, (2004), Vodafone uses MMS to educate its subscriber base on the range of content and services available through Vodafone Live!. The operator has embarked on a program of MMS marketing to its subscriber base, using highly creative executions to lead recipients directly into Live! content. Ongoing marketing will build on the recently completed Summer of Live! and LiveWire joint campaign, which observers have rated as one of the most effective campaign to date.

Summer of Live involved promotion of the various services and content on the operator's Live! portal, including half-price ringtones and its Find and Seek service. Different creatives linked consumers directly into the respective Live! service. A second strand, LiveWire, involved high-value offers targeted at high-value users. The activity runs on the Enpocket by agency Marvellous. Pricing issues and delivery complexity means MMS marketing has been slow to take off, but observers believe innovative campaigns like Vodafone's will help drive take-up. Mobile Networking founder *Craig Barrack* said this has fabulous content with a very high production value. It is much more advanced mobile marketing.

### 2.4.3 MOBILE INTERNET

M-Internet is a fast growing enabling technology for Mobile Commerce. However, despite its phenomenal growth and although M-Internet essentially provides the same services as stationary Internet, its adoption rate in many countries is very low compared to that of stationary Internet. The well-known Technology Adoption Model (TAM) has been used for explaining the adoption of traditional technologies.

Most adopters and users of traditional technologies (e.g., spreadsheet, word processor) are employees in an organizational setting who use the technology for work purposes, and the cost of mandatory adoption and usage is borne by the organization. In contrast, adopters and users of M-Internet are individuals who play the dual roles of technology user and service consumer. Most of them adopt and use it for personal purposes, and the cost of voluntary adoption and usage is borne by the individuals. Thus, the adopters of new ICT, especially M-Internet, are also consumers rather than simply technology users (*Hee-Woong Kim, et al., 2007*).

With the rapid adoption of the Internet and electronic commerce (e-commerce), the acclimatization of consumers to mobile devices, and the advent of third generation (3G) technology, Mobile Commerce (Mcommerce) is set to become one of the most promising and lucrative growth markets. 3G technology, which started in Japan in 2001, supports rich media such as video clips whereas only text is supported by second generation (2G) technology. According to the Ministry of Posts and Telecommunications of Japan, the Japanese M-Commerce market is expected to expand to 1.1 trillion yen (US$9.4 billion) in FY 2005.

According to *Hee-Woong Kim, et al., 2007,* the main reason for this rapid growth of M-Commerce is the rapid adoption of Mobile Internet (M-Internet) as a medium of communication, contents service and commerce, which has in turn come about as Japanese mobile service providers adopt 3G technology. As the growth of M-Commerce is closely linked to that of M-Internet, a clear and comprehensive understanding of M-Internet adoption is therefore essential to understanding M-Commerce adoption.

## 2.5 MOBILE BANKING

The use of mobile devices for banking is only starting to emerge, according to a new survey by *Synergistics Research Corp*., Atlanta, entitled, "Mobile Banking: The Consumer Viewpoint."

In the survey, Providers face a number of market challenges that may impact the usage of mobile banking, such as varying technologies and platforms, device functionality and screen-size issues, pricing—particularly in the context of minute usage — as well as security.

The survey showed that users of mobile banking (cell phone or PDA/organizer) currently view this service as a sccondary or emergency banking method. Slightly more than one-quarter of the cell phone users say this is their primary method of performing banking transactions, while more than one-third say it is a secondary method; close to four in ten do so only in an emergency.

"However, the excitement surrounding mobile banking indicates that once existing barriers are overcome, it may entertain wider consumer response. perhaps being spurred by growth in the mobile payments area," says *Genie M, Driskill* of Synergistics.The national online survey was conducted in October and November of 2006 with 1.013 consumers age 18 or older across all income groups.

## 2.6 METRICS OF EFFECTIVENESS

Marketing like any other business area needs performance/effectiveness measurement and evaluation. This can be done by various metrics (method of measurement and/or evaluation).

For the purpose of this study and the literature reviewed so far, we will look at **Web Analytics** and general **marketing performance metrics**.

The *Web Analytics Association* (www.webanalyticsassociation.org) offers this concise definition: "Web Analytics is the objective tracking, collection, measurement, reporting, and analysis of quantitative Internet data to optimize web sites and web marketing initiatives".

*Webopedia* defines web analytics as: a generic term meaning the study of the impact of a web site on its users.

In *whatis.com*: Web analytics is the process of analysing the behaviour of visitors to a web site. The use of web analysis is said to enable a business to attract more visitors, retain or attract new customers for goods or services, or to increase the dollar volume each customer spends.

Ultimately, this can help to improve the ratio of revenue to marketing costs. There is also the need for qualitative analysis in web analytics.

According to *Sweeney Susan et al.,* (2007), Web analytics can be sub-divided into **quantitative and qualitative studies**. Below is a brief explanation of both concepts:

**(A) Quantitative Studies:**

Quantitative Studies produce results you can measure, such as the number of unique click-throughs to a web page, number of people in North America with broadband Internet access, and so on. The data here is objective and speaks more of the general population using structured research tools. Quantitative data is measurable.

When speaking of web analytics, most of the time you are talking in terms of **quantitative data** - "this happened 2,000 times over 24 hours". Qualitative research is often used with quantitative research to help explain what happened by providing insight into an individual's motivation, attitude, and behaviour. Together they provide very useful insight.

**(B) Qualitative Studies:**

Usability testing, interviews, surveys, and the ever popular focus groups are all types of qualitative methods of measurement. Qualitative studies produce results that offer insight into the motivation and rationale of a customer for a given situation. Think of it as **feedback** or **opinion**, not facts justified by numbers. Qualitative studies speak more to the personal reaction of an individual.

Of course, when a high percentage of individuals give feedbacks and opinions tend to tilt or point to one direction more than the other, then such feedbacks and opinions should be looked at and analysed for possible changes. In this aspect qualitative measurement would have helped for a positive change.

### 2.6.1 KEY PERFORMANCE INDICATORS

Key Performance Indicators (KPIs) is a common phrase in the business world and you will see it come up often when discussing web analytics. KPI is also known as Key Success Factors.

When thinking in terms of web analytics, your KPIs concern those measurements that make a difference to your business in relation to the Internet (*Sweeney Susan et al.,* 2007).

For example, when performing a web page keyword analysis in other to know which keywords are used the most by search engine users in your area of business, the results that come up (using a search engine optimization software), that show the most used words by search engine users, stands to be the key performance indicator. Normally this will come under KPIs. An example of such software is "*Web CEO*" search engine optimization/marketing software .

### 2.6.2 COMMON MEASUREMENTS OF PERFORMANCE

There are several measurements of performance but for the purpose of this study, some basic ones are listed below.

First establish what KPIs are important to your business model. What questions about your on-line customers do you want an answer to?

The following are some of the more common measurements for you to evaluate:

(1) Click-through Rate (CTR).
(2) Unique Visitors.
(3) Time spent.
(4) Click Stream Analysis.
(5) Single-page Access.
(6) Total Sales, Leads generated or Desired Action Taken.
(7) Customer Conversion Ratio.
(8) Cost Per Customer or Customer Acquisition Cost.
(9) Net Dollar Per Visitor.
(10) Cost Per Visitor.
(11) Average Order Size.

The above are the basic or common measurements undertaken in the course of a web performance analysis (*Sweeney Susan et al.,* 2007).

### 2.6.3 MARKETING EVALUATION

We discussed above about metrics of effectiveness in terms of on-line marketing and certain tools/software used for measurements. But we need to remember that this is just one aspect of a business – focusing on the use of ICT in Marketing. The marketing ideology has to be whole – that is, the general marketing well being of a business is crucial to sustainable profit and competitive advantage.

ICT is just a tool in marketing and emphasis should be more on a market orientation not just the tools. Today, marketing should be every employee's priority and not just that of the marketing department. A “hello” and “thank you” would matter a lot to a companies image.

The ultimate idea is to have satisfied customers who will become loyal and translate to sustained profit, value and competitive advantage.

According to *Roger Best*, (2005), although a market-based business will use several external metrics to track market performance, an essential performance metric is customer satisfaction. Many marketing strategies can be developed to attract customers, but it is the business that completely satisfies customers that gets to keep them.

According to *Best,* this viewpoint may sound philanthropic to those who do not accept the whole concept of market orientation and market-based management. In his book *Market-Based Management,* 2005, he demonstrated the tremendous leverage a business can create in growing profits from a base of “very satisfied” customers and proactive management of of dissatisfied customers.

For the purpose of this study, a few market-based performance metrics will be described to buttress the point that marketing should be looked at as a whole and not just the use of tools like ICT.

Best, (2005) p. 8, wrote that there are many ways to measure customer satisfaction. One common measure is a Customer Satisfaction Index (CSI) derived from customers' ratings of their overall satisfaction on a six-point scale that ranges from very dissatisfied to very satisfied. As shown below, each level of customer satisfaction is given a rating that ranges from zero for very dissatisfied customers to 100 for very satisfied customers.

| Very Dissatisfied | Moderately Dissatisfied | Somewhat Dissatisfied | Somewhat Satisfied | Moderately Satisfied | Very Satisfied |
|---|---|---|---|---|---|
| (0) | (20) | (40) | (60) | (80) | (100) |

***Figure 2.5: Measuring Customer Satisfaction***

Keeping customers satisfied is very important because it is more difficult and expensive to attract new customers than to retain them.

Other performance metrics include Customer Retention Index (CRI) amongst others. The ultimate idea is to be able to attract, satisfy, retain, and keep customers loyal. If this can be achieved to a high percentage, then the business would have done something right in attaining competitive advantage.

# CHAPTER THREE

## METHODOLOGY

***"Marketing isn't somebody's responsibility; marketing is everybody's responsibility" -***
(Jack Welch, CEO, 1981 – 2001, General Electric Co.)

# CHAPTER THREE

## 3.0 METHODOLOGY

The main research method for this thesis includes the use of questionnaires, in a survey, to gather primary empirical data (via email link), and interviews (via telephone). I designed my survey questionnaire and interview after reviewing various research papers and marketing/management books by the likes of *Adam S*., (2001), *Roger B*., (2005), and *Dubrin J. A*., (2007). The survey interface was designed to discourage incomplete surveys through prompting, and as a result, almost completely eliminated partially completed responses. The brief interview was conducted to validated the responses to the survey questions and create more insight. This research is basically an inductive approach. It is a comparative case study with a combination of qualitative and quantitative analysis (see Ghauri Pervez, Gronhaug Kjell, 2005, p. 108 – 121). The research design is casual in nature, and explanatory, creating yet another step to a more in-depth research in this area (see Ghauri Pervez, Gronhaug Kjell, 2005, p. 57 – 59).

## 3.1 SURVEY OBJECTIVES

The survey objective is to answer the below focus questions through the above mentioned methods.

1) How is internet marketing (website and email) used?

2) How is mobile phone marketing (sms and mms) used?

3) What is the percentage use of internet marketing to mobile phone marketing?

4) Is ICT basically or maximally used?

5) What ICT are predominantly used in the companies and why?

6) What are the companies doing right or wrong in the use of ICT?

The idea is to throw more light into this areas for the maximum use of ICT in marketing for better organizational performance and competitive advantage. The data collected has revealed a lot in the ICT use of the companies under study. This companies cut across retail/hardware stores, banks, music/entertainment, IT, and print media. Although it is a relatively small sample size (five companies) but deliberate not to alter other areas of this programme as a whole and because of how sensitive these issues under focus are to such large companies and the time it will take in observing anti-spam laws in order to get the specific department to answer the questions.

It is intended that through the literature review, readers of this work will see from the you-know-whos of ICT and marketing how to better undertake an ICT approach to marketing in their various businesses no matter the size. Specifically based on the data collected, advice will be drawn/given from the literature to address major ICT use misconceptions.

Finally, this is also to fill the research void in this area of study and as another foundation step for other such studies with larger sample size and regional comparison.

## 3.2 DATA COLLECTION

The data in this study was collected through eSurveyspro at www.esurveyspro.com. The on-line software allows survey questionnaire structuring, formatting, emailing to respondents, exporting of data, and percentage/graphic presentation. Though in-depth statistical analysis was separately carried out; the authenticating capability of the software by way of corresponding email address and IP address (Internet Protocol Address) to the various companies was important and an added value.

The email addresses and IP addresses show that the respondents were from a genuine verifiable source and are actually different companies. This is very important in showing the validity and reliability of the research as a whole (see appendix D) for proof.

The respondents basically received emails with links to the survey after prior communication to observe the anti-spam law. The link directed the respondents to an HTML page (Hyper text Mark-up Language generated page) where the survey questions were answered and submitted. An opt-out link was also presented in accordance with anti-spam law.

The interviews were carried out via telephone after prior appointment and each lasted about 10 to 20 minutes. The interview validated the questionnaire for errors synonymous with survey questionnaire data collection as explained by Ghauri Pervez, Gronhaug Kjell, (2005). They also show further insight into the analysis and conclusion of the study which will be seen in the following chapters.

## 3.3 STATISTICAL TECHNIQUE

One of the important thing to note when writing a research report is to make it readable, and understandable by your target audience and others. The statistical technique used for this thesis is “percentage rating” which involves analysing, summarizing and presenting the results in tables and graphs.

Firstly, the questionnaire, with 28 questions is divided into three parts, the first part (A), consists of sixteen questions with a scale of one to five (one being the lowest and five the highest), with a total score of 80 points which corresponds to 80% of the questionnaire total score.

The second part (B), consists of ten questions with allocated two points each based on the correctness of the answers given in relation to this study. The points total for the ten questions is 20 points which corresponds to 20% of the questionnaire total score. This brings the total rated questions to 100%. The third part (C), consists of two qualitative questions with no rating. The two questions are a support for both the questionnaire and the interviews.

The results will be tabulated in terms of the category of companies under study (retail/hardware stores, banks, music/entertainment, IT, and print media).

Secondly, the scoring and interpretation are set below in percentage (see *Dubrin J. A*., 2007):

<u>For vertical cumulative score (Qi A & B)</u>

(1) 0 – 20 → VERY NEGATIVE
(2) 21 – 41 → NEGATIVE
(3) 42 – 62 → MODERATE
(4) 63 – 83 → POSITIVE
(5) 84 – 100 → VERY POSITIVE

<u>For horizontal cumulative score (Qii A)</u>

(1) 0 – 5 → VERY NEGATIVE
(2) 6 – 11 → NEGATIVE
(3) 12 – 14 → MODERATE
(4) 15 – 19 → POSITIVE
(5) 20 – 25 → VERY POSITIVE

<u>For horizontal cumulative score (Qii B)</u>

(1) 0 – 2 → VERY NEGATIVE
(2) 3 – 4 → NEGATIVE
(3) 5 – 6 → MODERATE
(4) 7 – 8 → POSITIVE
(5) 9 – 10 → VERY POSITIVE

Lastly, the interview responses will be used to draw a conclusion based on the findings from the questionnaire analysis.

The simple percentage rating technique explained above and interview analysis will seek to answer the objectives/focus questions of this research.

# CHAPTER FOUR

## ANALYSIS

***"The concept is interesting and well-formed, but in order to earn better than a "C" grade, the idea must be feasible" -***
(Yale University professor's comments on Fred Smith's thesis - proposing the overnight delivery service know today as FedEx.)

# CHAPTER FOUR

## 4.0 ANALYSIS

This chapter focuses on the analysis of data collected via questionnaire and interview. Twenty questionnaires were sent out and only eight were responded to. Five responses were selected from five different industries, the rest being duplicates of same industries. The companies are from retail/hardware stores, banks, music/entertainment, IT, and print media. Companies from these industries were targeted because they are the ones most likely to use eICT and mICT more in marketing. It is believed that for comparative analysis of this type of study the sample companies selected are representative of their industry.

## 4.1 SURVEY RESULTS

The survey data is presented below in a cross tabulation form after calculations using excel software. The data are further presented in three different graphs showing the total percentage score of the five different companies under study and the other two sub divided categories for simplicity.

According to the below scale as presented earlier we can draw some meaning and relationships as follows:

For vertical cumulative score (Qi A & B)

(6) 0 – 20 → VERY NEGATIVE
(7) 21 – 41 → NEGATIVE
(8) 42 – 62 → MODERATE
(9) 63 – 83 → POSITIVE
(10) 84 – 100 → VERY POSITIVE

For horizontal cumulative score (Qii A)

(1) 0 – 5 → VERY NEGATIVE
(2) 6 – 11 → NEGATIVE
(3) 12 – 14 → MODERATE
(4) 15 – 19 → POSITIVE
(5) 20 – 25 → VERY POSITIVE

For horizontal cumulative score (Qii B)

(1) 0 – 2 → VERY NEGATIVE
(2) 3 – 4 → NEGATIVE
(3) 5 – 6 → MODERATE
(4) 7 – 8 → POSITIVE
(5) 9 – 10 → VERY POSITIVE

## TABLE 4.0
## SURVEY DATA ANALYSIS (SEE APPENDIX A)

| Q NOS. | Retail/Hardware Store | Bank | Music/Entertainment | IT | Print Media | Qii TOTAL |
|---|---|---|---|---|---|---|
| Q3 **(A)** | 2 | 3 | 5 | 5 | 5 | **20** |
| Q4 | 1 | 5 | 4 | 3 | 2 | **15** |
| Q5 | 1 | 1 | 4 | 2 | 2 | **10** |
| Q6 | 1 | 3 | 3 | 1 | 1 | **9** |
| Q7 | 5 | 5 | 3 | 5 | 5 | **23** |
| Q8 | 5 | 5 | 4 | 5 | 5 | **24** |
| Q9 | 1 | 4 | 3 | 4 | 1 | **13** |
| Q10 | 1 | 1 | 3 | 1 | 1 | **7** |
| Q13 | 1 | 5 | 3 | 3 | 2 | **14** |
| Q14 | 1 | 1 | 4 | 2 | 2 | **10** |
| Q16 | 1 | 4 | 2 | 5 | 4 | **16** |
| Q17 | 3 | 5 | 2 | 5 | 4 | **19** |
| Q19 | 1 | 4 | 4 | 5 | 4 | **18** |
| Q22 | 5 | 4 | 3 | 3 | 3 | **18** |
| Q23 | 1 | 5 | 3 | 4 | 1 | **14** |
| Q26 | 1 | 5 | 3 | 4 | 3 | **16** |
| Q1 **(B)** | 0 | 2 | 2 | 2 | 2 | **8** |
| Q2 | 0 | 2 | 2 | 2 | 2 | **8** |
| Q15 | 0 | 0 | 0 | 0 | 0 | **0** |
| Q18 | 2 | 0 | 0 | 2 | 0 | **4** |
| Q20 | 0 | 0 | 2 | 0 | 0 | **2** |
| Q21 | 0 | 2 | 2 | 2 | 2 | **8** |
| Q24 | 0 | 2 | 0 | 2 | 2 | **6** |
| Q25 | 0 | 2 | 0 | 2 | 2 | **6** |
| Q27 | 0 | 2 | 2 | 2 | 0 | **6** |
| Q28 | 0 | 0 | 0 | 2 | 0 | **2** |
| **Qi TOTAL** | **33** | **72** | **63** | **73** | **55** | **296** |

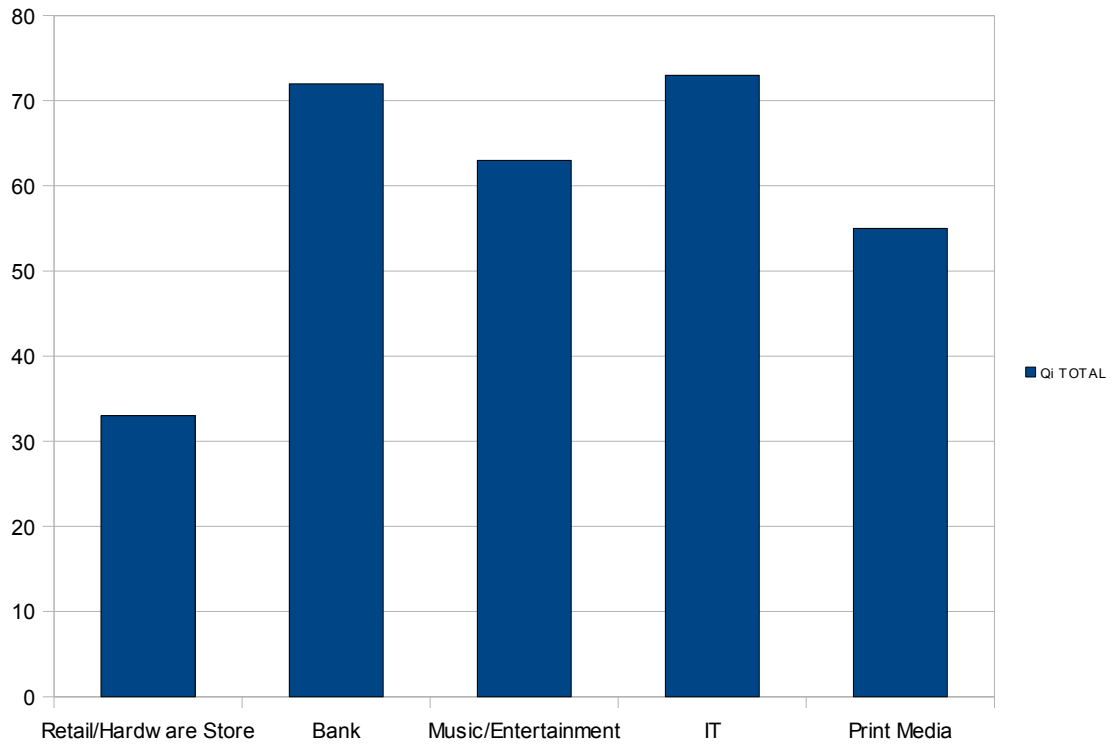


***Figure 4.0: Graph showing percentage score of Qi total (A & B)***

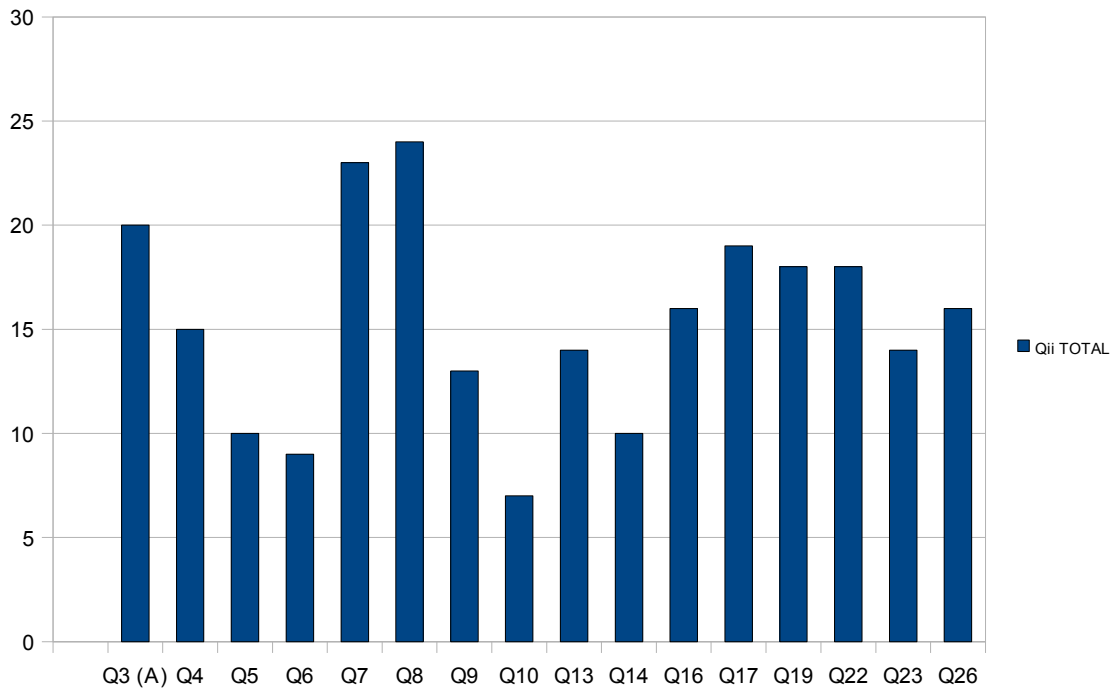


***Figure 4.1: Graph showing percentage score of Qii total (A)***

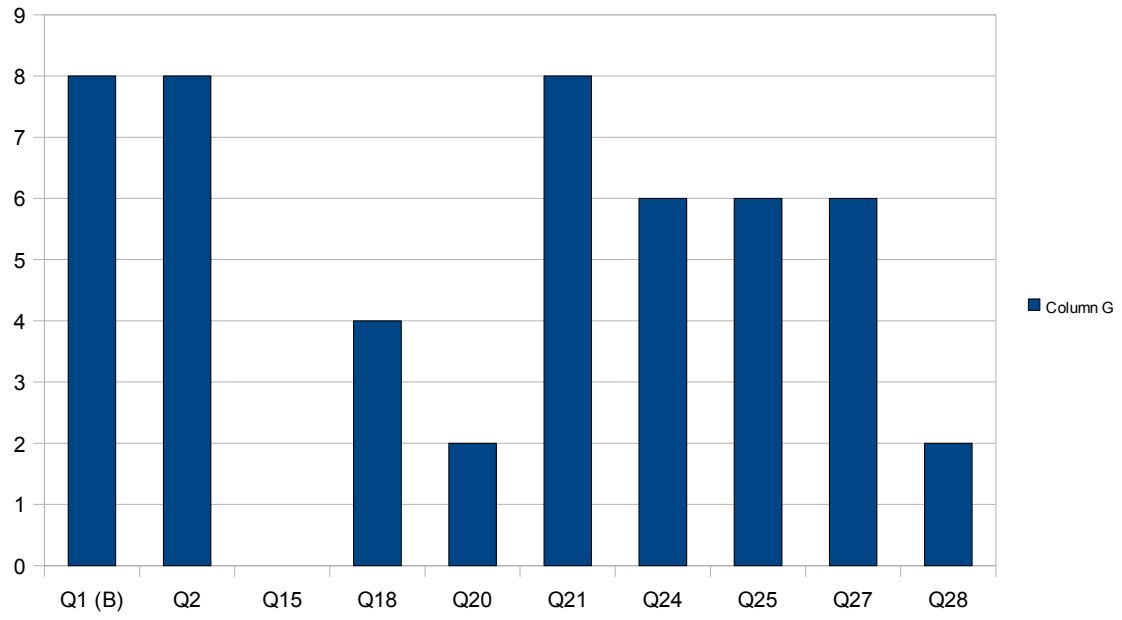


***Figure 4.2: Graph showing percentage score of Qii total (B)***

**TABLE 4.1 - Two Qualitative Questions (see appendix A)**

| **Q NO. 11** | **Why or why don't you use Internet marketing more?** |
|---|---|
| **Retail/Hardware Store** | **ANS:** We only advertise in local papers and flyers. |
| **Bank** | **ANS:** Use it often. Percentage is probably 90/10 than 80/20. |
| **Music/Entertainment** | **ANS:** Effective and to the point. |
| **IT** | **ANS:** We use Internet marketing more because it is more convenient. |
| **Print Media** | **ANS:** We use printed material to convey our message and quality at the same time. |
| | |
| **Q NO. 12** | **Why or why don't you use mobile phone marketing more?** |
| **Retail/Hardware Store** | **ANS:** As above. |
| **Bank** | **ANS:** Restrictions in relation to CPC (Consumer Protection Code) and also up to recently we did not capture mobile phone information. Used for third level campaign and Better Ireland Programme campaign with good effect. |
| **Music/Entertainment** | **ANS:** More effective, everyone will open and read his/her text. |
| **IT** | **ANS:** Mobile phone marketing faces a lot of privacy issues, hence hadly used. |
| **Print Media** | **ANS:** We do not find it effective. |

In general, the bank (72%), music/entertainment (63%), and IT (73%) companies fall under “positive” in the scale, the retail/hardware company (33%) falls under “negative”, while the print media (55%) falls under “moderate”.

The above is consistent with the interviews conducted via telephone and also with the unstructured part of the questionnaire in table 4.1, therefore maximizing the accuracy of the questionnaire data collected.

This means that companies in the positive range on the scale implements ICT more or better in their marketing. While the others are not bothered or indifferent. The interview with the companies on the positive side of the scale suggested that they could do better if public response encouraged them while maximizing their marketing budget. On the other hand, interviews with the company in the negative range showed they were just developing their web presence (under construction) and they do not have a functioning website, which shows low level of the importance of ICT in expanding their market share.

It was also suggested from the interview with the retail/hardware store that they deal basically more with the local buyers. Giving the importance of ICT in today's world and more so in marketing, it becomes inconceivable that there would be a company in this category without a web presence.

Interview with the print media (under moderate in the scale) suggested that in as much as they recognise the importance of ICT in marketing and would try exploiting it, do not find it effective. It also suggested that the company rely mostly on printed material.

One important finding with the interviews conducted on the companies is that they do not carry out surveys on the impact the use of ICT to its maximum or partial/lack of it would have on the company profit, value and competitive advantage. The interview also showed that while the companies on the positive side of the scale appreciate and use ICT in their marketing, comprehensive performance evaluation are not carried out to make allowance for improvements.

### 4.1.1 DATA DISPERSION

This section is to find the standard deviation of the observed cumulative data of the companies under study (Standard Deviation – http://en.wikipedia.org/wiki/standard_deviation; Ghauri Pervez, Gronhaug Kjell, 2005).

**Mean** = 0.33 + 0.72 + 0.63 + 0.73 + 0.55/5 = 2.96/5 = 0.592 or **(59.2%)**

**Variance** $= (0.33 - 0.592)^2 = 0.068644$
$= (0.72 - 0.592)^2 = 0.016384$
$= (0.63 - 0.592)^2 = 0.001444$
$= (0.73 - 0.592)^2 = 0.019044$
$= (0.55 - 0.592)^2 = 0.001764$

---
0.10728
---

= 0.10728/5 = 0.021456 or **(2.1456%)**

**Standard deviation** = √0.021456 = 0.14647 or **(14.647%)**

The above descriptive statistical measure shows that the average use of ICT in marketing for the sampled companies is 59.2%, with a standard deviation of 14.647%. This suggests that the variability of ICT use in marketing of such companies could fall between 44.553% - 74.147%. In other words if this study were to be repeated several times with the same category of companies the mean score would fall within the range above.

The mean score of 59.2% is consistent with the literature reviewed which suggests that most companies' ICT use is just about average and that there is plenty of room for improvements in this area of ICT use. Companies use ICT, and would be willing to maximize the use of ICT if it is worth their while in their marketing budget. This unfortunately depends on public reception and perception of certain ICT marketing techniques in terms of privacy and data protection and the best practices in using such ICT tools. However, the onus is on companies to create the confidence in the public in other to maximize this relatively cheap marketing tool and to engage best practices when using such tools.

## 4.2 eICT AND mICT ANALYSIS

Analysis of eICT/mICT use as a dependent variable in relation to ICT use as a whole (independent variable). This is to see a relationship between the scores of each question relating to either eICT or mICT and the ICT scores in general. Below are two tables and graphs illustrating this.

**TABLE 4.2 - eICT (i.e emailing) Relationship With ICT in General.**

| Q NOS. | Retail/Hardware Store | Bank | Music/Entertainment | IT | Print Media | eICT |
|---|---|---|---|---|---|---|
| Q3 **(A)** | 2 | 3 | 5 | 5 | 5 | **20** |
| Q5 | 1 | 1 | 4 | 2 | 2 | **10** |
| Q7 | 5 | 5 | 3 | 5 | 5 | **23** |
| Q9 | 1 | 4 | 3 | 4 | 1 | **13** |
| Q14 | 1 | 1 | 4 | 2 | 2 | **10** |
| Q15 | 0 | 0 | 0 | 0 | 0 | **0** |
| Q20 | 0 | 0 | 2 | 0 | 0 | **2** |
| Q23 | 1 | 5 | 3 | 4 | 1 | **14** |
| **ICT** | **33** | **72** | **63** | **73** | **55** | |

Companies with low scores in ICT generally scored low in eICT and mICT questions and vice versa. So there is a relationship. See appendix B for data collected on-line to better understand the selection of questions relating to eICT (email) and mICT (SMS/MMS).

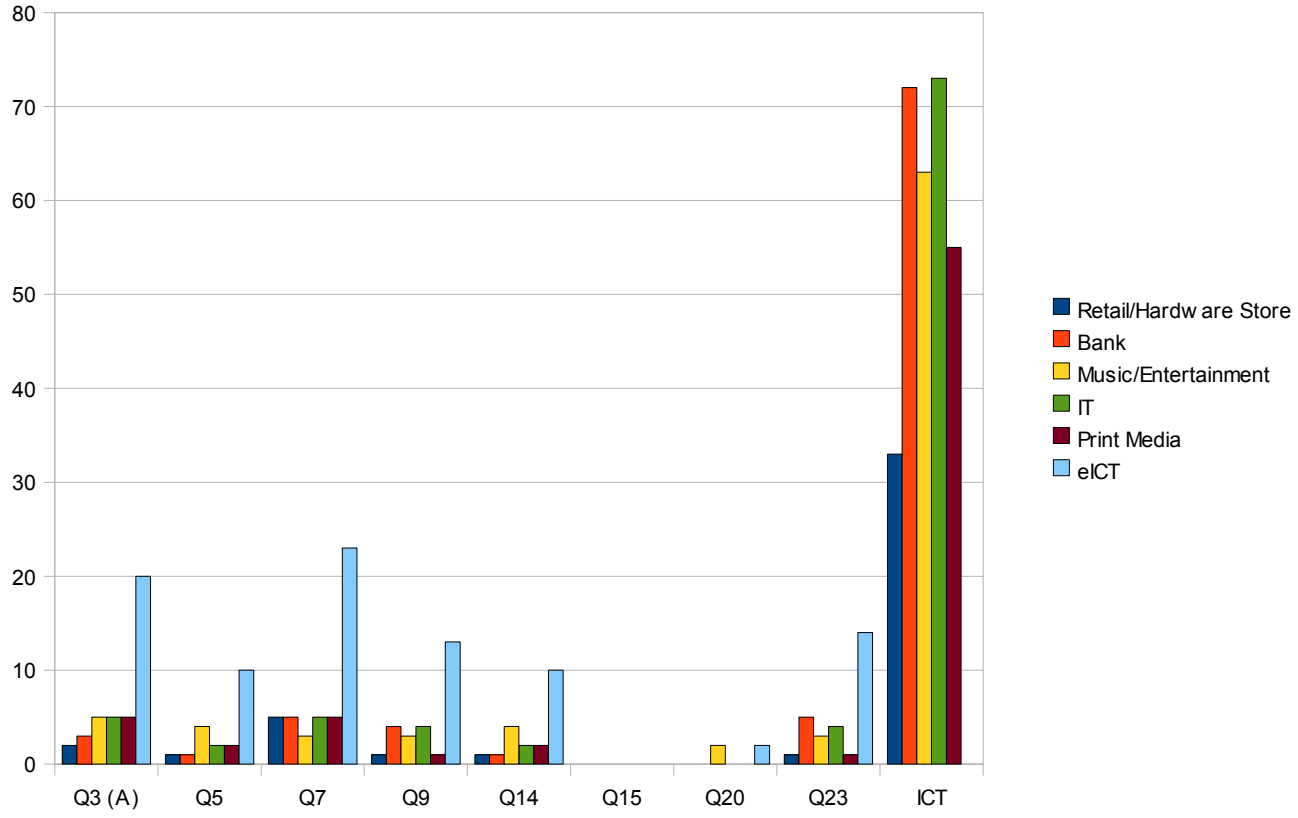


***Figure 4.3: Graph showing relationship between eICT & ICT***

The graph above shows to the right the general ICT scores bar and to the left questions relating to emailing (eICT) starting with the light blue bar which is the total of responses by individual companies per question. The table and the graph, shows a relationship between companies with high scores and scores to questions relating to the use of emails.

**TABLE 4.3 - mICT (i.e SMS/MMS) Relationship With ICT in General.**

| Q NOS. | Retail/Hardware Store | Bank | Music/Entertainment | IT | Print Media | mICT |
|---|---|---|---|---|---|---|
| Q6 | 1 | 3 | 3 | 1 | 1 | **9** |
| Q8 | 5 | 5 | 4 | 5 | 5 | **24** |
| Q10 | 1 | 1 | 3 | 1 | 1 | **7** |
| Q23 | 1 | 5 | 3 | 4 | 1 | **14** |
| **ICT** | **33** | **72** | **63** | **73** | **55** | |

The above table is similar to table 4.2 but showing relationship between mICT scores and ICT scores in general. See corresponding graphic illustration below.

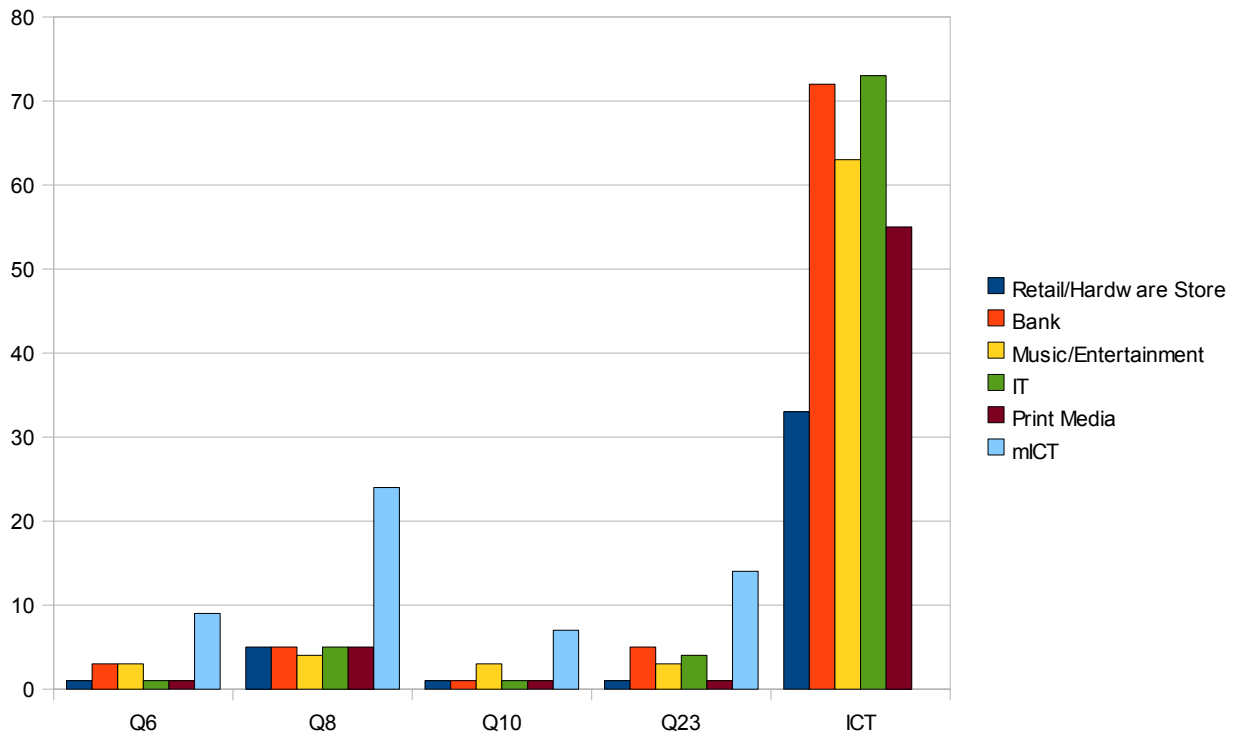


***Figure 4.4: Graph showing relationship between mICT & ICT***

The graph above shows to the right the general ICT scores bar and to the left questions relating to SMS/MMS (mICT) starting with the light blue bar which is the total of responses by individual companies per question. The table and the graph, shows a relationship between companies with high scores and scores to questions relating to the use of SMS/MMS.

## 4.3 FOCUS QUESTIONS

The survey objective is to answer certain focus questions as below:

1) How is internet marketing (website and email) used?

2) How is mobile phone marketing (sms and mms) used?

3) What is the percentage use of internet marketing to mobile phone marketing?

4) Is ICT basically or maximally used?

5) What ICT are predominantly used in the companies and why?

6) What are the companies doing right or wrong in the use of ICT?

The above questions have been answered in the body of text in this chapter - see also appendix A & B. To re-iterate – according to the questionnaire and interview analysis, generally, question one above shows that four out of the five companies under study has a functioning website but do not use it maximally for data mining and eCRM purposes.

And advanced on-line facilities like payment portals are not incorporated (the bank can be excepted from this because they rarely have products or services purchasable on-line for security and regulation reasons). It is also found that email marketing are seldom used – these are very important for an effective ICT in marketing campaign.

In question two it was found that SMS/MMS marketing also was hardly used for customer/client privacy issues. This is generally scepticism on the public part about SMS/MMS communication but a few research has shown some encouraging response on the public part. Companies need to create means of legitimately collecting and mining such data on their websites or other correspondence with explanation on how and what it will be used for to put the minds of customers and clients at ease with such marketing channels. This is more important now that newer interactive technologies are being incorporated in mobile devices.

Question three is best answered by referring to appendix B. In the questionnaire, question 5 (How often do you advertise with email?) shows that 20% of the five companies chose often, 40% - seldom and 40% - never. And question 6 (How often do you advertise with SMS/MMS?) shows that 40% chose moderately and 60% - never. It is important to note that in Q5, 40% said never and in Q6, 60% said never, which suggests that the companies are not keen on SMS/MMS marketing. Also see questions nine and ten in appendix B.

The analysis to the fourth question suggests that in as much as ICT is generally used by companies, it is not maximally and effectively used as a major marketing strategy.

It is obvious in the analyses that companies use websites and emailing more than SMS/MMS in their marketing approach, and the reason for the predominant use of the latter is that SMS/MMS has major privacy issues, which answers the fifth question.

In this study, it was found that most of the companies have websites which is a plus but the websites need to be more dynamic and interactive. They fairly use email and SMS/MMS techniques but need to be more objective and carry out thorough performance metrics in other to improve their ROI (return on investment). See appendix A & B and refer to the literature review chapter for better clarification.

# CHAPTER FIVE

## FINDINGS, RECOMMENDATIONS, AND CONCLUSIONS

***"It is better to be prepared for an opportunity and not have one than to have an opportunity and not be prepared" -***
(Whitney Young Jr. - Dean of School of Social work, Atlanta University)

# CHAPTER FIVE

## 5.0 FINDINGS, RECOMMENDATIONS, AND CONCLUSIONS

This chapter focuses on discussing the findings and their implications for businesses, small or large scale. Recommendations will also be given for further studies and finally, conclusions based on the study as a whole.

## 5.1 FINDINGS AND IMPLICATIONS

Based on the findings in the analysis above, some implications will be discussed briefly.

The research found that one of the five companies under study did not have a functioning website but ICT was used sparingly. The interview conducted revealed that this company referenced their company from another site while their site is presently under construction but has a working company email address.

The impact this would have cannot be known within the scope of this research but a company without a functioning website and therefore no personal web presence is giving out a lot to competition. Such companies cannot tell the added value or how much market share is lost by not investing in that marketing channel. For example, if adverts by such companies were made basically via flyers and newspapers the audience out-reach is more limited than a company with a working website and can reach other targets outside its locality. People continually look for variety and low price. If in a locality you are marketing to 500,000 people, with a functioning web presence, email and SMS/MMS marketing channels, your reach go far beyond your locality and will definitely draw other prospective customers if your products and services are unique and price conscious.

Cost and benefits come to play when prospective customers go out side their locality to purchase goods and services but some people will get what they want and need weighing cost and benefit. The question is – how does a company not reaching out that far have a chance in that market share. The implication is loosing it to your competition who is.

Websites like www.WebProNews.com and www.SiteProNews.com provide quality and reliable resources on ICT in marketing on a daily bases and as trends change. All that is needed is to subscribe to their newsletter.

The other four companies all have websites and use ICT in marketing but not maximally. Here the question of proper or better use comes to play. For example, out of the four companies, only the IT company used a website design that is both static and flash combined. It is understandable that because Google doesn't tend to index flash based sites properly, nowadays web designers tend to keep it static.

Both it is very important to balance the visual appeal and content of a website to both the audience and the search engine spiders (techniques companies like Google and Yahoo uses to index sites in their search engines). An audience that is not appealed to with the right content and design will probably not visit again and therefore you loose the chance of a sale, clientèle or better still possibilities of collecting personal data for data mining and eCRM purposes.

Navigation friendliness is also of importance. In question nineteen of the questionnaire, 60% of the companies surveyed said their website were navigation friendly. This means visitors to their sites will find it easy to move around in a few clicks to find what they are looking for. In sites where the reverse is the case, visitors will come to a beautiful site with lots of content but spend ages to find exactly what they cam there for. If such a visitor visits another site with same appeal and content with a better navigation, the tendency is that he/she will not visit the other website again resulting in loss of potential customer.

Question twenty of the survey indicated that 60% of the companies surveyed did not have an avenue for their website visitors to sign-up for their newsletter or correspondence. The implication of this is that personal data of prospective customers will not be easily collected for consented communications of marketing campaigns or correspondence.

In a world where mobile devices are ubiquitous, businesses should take advantage of the mobile age. 60% of the companies surveyed said their website is moderately mobile phone friendly i.e. it renders without much distortion on a mobile device screen. When a company embarks on creating a web presence the designer should bear in mind the small screens of mobile device and design a site that will have minimal distortion on such devices otherwise it'll not appeal to people on the move and searching for products or services. A mobile version of websites are sometimes designed to deal with this issue.

Findings also show that 60% of the companies surveyed said they undertake web analytics. This topic is beyond the scope of this study but was highlighted in the literature review. While, the figure indicates positiveness towards web analytics, it must be said that, web analytics, has many parameters that must be investigated to understand visitor/customer behaviour on a website. Only then will it lead to useful information that will better the impact the website is supposed to have on the business.

Although, the interview revealed generally that marketing with ICT has an impact on the companies' revenue and value, figures could not be discussed because of the short interview timing for the interviewee's convenience and schedule.

## 5.2 RECOMMENDATIONS

ICT in marketing must be brought to a new paradigm, where the tools of ICT will be used maximally, effectively and efficiently to gain business value and competitive advantage.

Based on this study, further inferential studies should be carried out where hypothesis will be tested on a larger sample size with focus on quantitative techniques of data analysis. Studies with geographical regions should be conducted comparing countries already advanced in ICT usage in marketing with countries with emerging technology (for example African countries).

This research is in no way exhaustive and it opens a window into various areas in which further researches into the problems companies face when implementing ICT use in marketing.

## 5.3 CONCLUSIONS

The survey results and analysis show that the companies under study use ICT in their marketing but not maximized in terms of the use of emails and SMS/MMS. The study revealed that most of the companies have a working website but that a more advanced website use is yet to be achieved in terms of the website presentation and capabilities. The Internet has dynamic capabilities and despite ICT diffusion in organizations it is yet to be fully exploited to create value for money and a competitive advantage.

A lot has to be done on the part of organizations to sensitise the public about the advantage of ICT use in marketing (in terms of email and SMS/MMS) to them, bearing in mind anti-spam laws. The public should be well informed about privacy issues to put their minds at rest when giving out their personal details to companies or businesses they deal with.

The power of information and communication technology should not be underestimated especially in marketing.

# REFERENCES


ActivMedia (2001), "Web Change 2001, E-business Comes of Age", available from http://www.activmediaresearch.com.

Adam, Stewart (2001). "OnetoOne eMarketing Strategy Alignment: Five Internet Case Studies". *Academy of Marketing Annual Conference*, Cardiff, Wales, United Kingdom, Cardiff University, (2-4 July)**.**

Adam, Stewart, Mulye, Rajendra, Deans Kenneth R., Palihawadana Dayananda (2001) - A Three Country Comparison of Internet Marketing.

Ang, Lawrence and Lee, Boon-Chye (2000). "Engendering Trust in Internet Commerce: A Qualitative Investigation". *ANZAM 2000 Conference Proceedings*, Sydney, Macquarie University. http://www.gsm.mq.edu.au/conferences/2000/anzam/banner.html.

Barnes Stuart, and Scornavacca Eusebio, (2006) Editor – Unwired Business: Cases in Mobile Business, IRM press.

Barwise P, Strong C, - Permission-based mobile advertising. J Interact Market 2002;16(1):14 –24.

BarNir, A., Gallaugher, J. M. and Auger, P. (2003) 'Business Process Digitization, Strategy, and the Impact of Firm Age and Size: The Case of the Management Publishing Industry', *Journal of Business Venturing* 18(6): 789–814.

Barwise P, Farley JU, - The state of interactive marketing in seven countries: interactive marketing comes of age. J Interact Market 2005;19(4):67–80.

Barnes SJ, - Wireless digital advertising: nature and implications. Int J Advert 2002; 21: 399 – 420.

Bengtsson, Maria, Hakan Boter and Vladimir Vanyushyn, (2007) - Integrating the Internet and Marketing Operations: *A Study of Antecedents in Firms of Different Size, Vol 25(1): 27–48.*

Branwell Johnson, (2006) - Travel Trade Gazette: *Email can help win over youth market* 12/5/06, p. 15 (www.ttglive.com).

Brick Marketing, Email Marketing Journal - http://emailmarketingjournal.com/ (Accessed 020/2/09).

Butler, M.J. (1995). Marketing and the Internet (on-line). The University of Texas at Austin. Available from: http://advertising.utexas.edu/research/papers/MButler.html (accessed 16/03/08).

Centaur Communications, (2004) - *Vodafone uses MMS to educate customers about Live! service* , New Media Age, p. 4 – 4.

Chin-Lung Hsu, Hsi-Peng Lu, Huei-Hsia Hsu (2007) - Adoption of the mobile Internet:*An empirical study of multimedia message service (MMS),* Science Direct 715 – 726.

Cohen, W. M., Levin, R. and Mowery, D. C. (1987) 'Firm Size and R&D Intensity: A Reexamination', *Journal of Industrial Economics* 35(4): 543–65.

Cravens Jayne, Coyote Communications (2009) - www.coyotecommunications.com/webdevo/webmrkt.shtml (Accessed 16/1/09).

Cutitta F, ( 2005), Mobile advertising around the world. Presentation materials: preconference wireless promotional strategies around the world. The annual conference of the American Academy of Advertising, Houston.

Deans, Kenneth R. (2001). "Inter-Study Comparisons of Small Business Internet Use in Australia and New Zealand". *AusWeb 01 Conference Proceedings*, Coffs Harbour, Southern Cross University, (21-25 April)**.**

Deans, Kenneth R. (2003) Editor – Issues In Marketing, Emerald Group Publishing Ltd: 105.

Dholakia, Uptal M. and Rego, Lobo L. (1998). "What makes commercial Web pages popular? An empirical investigation of Web page effectiveness". *European Journal of Marketing,* 32(7/8):724-736.

D2 Communications. Our line of business. Homepage; 2005. Available at: hppt://www.d2c.com (Accessed Nov. 11, 2008).

Ernst and Young (2000). "Virtual Shopping in Australia". Sydney, Australia.

Eiledon Solutions, Benefits of Having a Website (2005) – www.eiledon.co.za/webmarketing12-benefits-of-having-a-website.htm. (Accessed 16/1/09).

Ellison, Carol, (2006): Customer Relationship Management (CRM) magazine (www.destinationCRM.com).

eMarketer, Mobile advertising and marketing spending in the US, 2005–2009. Mobile marketing and M-commerce: global spending and trends. Summary. EMarketer; 2005.

Ghauri Pervez, Gronhaug Kjell, (2005) – Research Methods in Business Studies: *A practical Guide*, 3rd edition, Prentice Hall.

Gibbs Colin, (2007) - *MMS marketing a hit abroad, on deck in U.S.*, RCR Wireless News; 9/3/2007, Vol. 26 Issue 33, p13-13.
Centaur Communications, (2005) - *Vodafone runs MMS video campaign for sport content*, New Media Age, p. 2 – 2.

Goldstein, Joel - *President,* Goldstein Group Communications, Inc. - *Next Marketing* – Tips for email marketing success (April 2004).

Halett T, ( 2005), SMS boom to continue. ZD Net UK;. September 6.

Hanson, Ward (2000). *Principles of Internet Marketing,* South-Western College Publishing, Cincinnati, Ohio.

Hee-Woong Kim, Hock Chuan Chan, Sumeet Gupta (2007) - *Value-based Adoption of Mobile Internet: An empirical investigation,* Science Direct, p. 111 – 126.

Henry-Labordere, Arnaud & Jonack, Vincent, (2004) – *SMS and MMS Interworking in Mobile Networks,* Artech House Incorporated.

Henry, Dave Cooke, Sandra and Montes, Sabrina (1997). *The Emerging Digital Economy*. Secretariat on Electronic Commerce, U.S. Department of Commerce, Washington, D.C.

Hofacker, Charles F. and Murphy, Jamie (1998). "World Wide Web banner advertisement copy testing". *European Journal of Marketing,* 32(7/8):703-712.

Hoffman, Donna L. and Novak, Thomas P. (1996). "Marketing in Hypermedia Computer-Mediated Environments: Conceptual Foundations". *Journal of Marketing,* 60(3):50-68.

Höst, V., Mols, N. P. and Nielsen, J. F. (2001) 'The Adoption of Internet-Based Marketing Channels', *Homo Oeconomicus* 17(4): 463–88.

Internet Usage Statistics for Americas - www.internetworldstats.com/stats2.htm#americas (Accessed 29/01/09).

Joukhadar, Kristina (2006), E-marketing in an Integrated World, p. 18 – 20 (Available at www.circman.com).

Judith Redoli, Rafael Mompo, Javier Garcıa-Dıez, Miguel Lopez-Coronado, (2008) - A model for the assessment and development of Internet-based information and communication services in small and medium enterprises (p. 424 – 435).

Kenny, David and Marshall, John F. (2000). "Contextual Marketing: The Real Business of the Internet". *Harvard Business Review,* 78(6):119-125.
12) Argy, Philip and Bollen, Rhys (1999). "Australia: Raising the eCommerce Comfort Level". *IT*
*Pro*, 56-58.

Kinetix Media Communications (2006). Mobile Phone Marketing (on-line). Available from:

http://www.kinetix.ca/page/mobile-marketing (accessed 16/03/08).

Klein, Lisa R. and Quelch, John A. (1997). "Business-to-business market making on the Internet". *International Marketing Review,* 14(5): http://www.emeraldlibrary. com/brev/03614ec1.htm.

KPMG (1999). "Electronic Commerce: The Future is Here!" Melbourne, 15. www.nolannorton.com.

Mark Brownlow - Email Marketing Reports - www.email-marketing-reports.com/intro.htm - 2009 (Accessed 15/1/09).

Marketing News, ABA Bank Marketing, ( Sept., 2007) – Mobile Banking: It's Coming, But It's Not Yet Here, p. 7 (www.links.aba.com).

Mulye, Rajendra and Jagdish N. Parvatiyar, Atul and Shainesh, G. Tata(2001). "The Evolution of Relationships in eMarketing". *Customer Relationship Management: Emerging Concepts, Tools and Applications*. Sheth, McGraw-Hill, New Delhi: 135-142.

NOIE (2000). "e-Commerce beyond 2000". Canberra: 1-200. http://www.noie.gov.au.

Novak, Thomas P., Hoffman, Donna L. and Yung, Yiu-Fai (2000). "Measuring the Customer Experience in Online Environments: A Structural Modeling Approach". *Marketing Science*, 19 (1), 22-42.

Okazaki Shintaro, Charles R. Taylor, (2008) - What is SMS advertising and why do multinationals adopt it? Answers from an empirical study in European markets, 61, p. 4-12, *Journal of Business Research – ScienceDirect.*

Palihawadana, Dayananda and Nair, P. (2000). "An Investigation of Internet Use in Businessto-
Business Marketing in Britain". *Academy of Marketing Annual Conference 2000*, Derby, UK, University of Derby.

Paulina Papastathopoulou et al., - Industrial Marketing Management: Intraorganizational information and communication technology diffusion 36 (2007) 322 – 336.

Porter, Michael E. (2001). "Strategy and the Internet". *Harvard Business Review,* 79(3):63-78.

PrecisionMarketing, (2006) – The weekly magazine for direct marketing.

Ralph, Daniel and Graham, Paul (2004) – MMS: Technologies, Usage, and Business Models, John Wiley & Sons Incorporated.

Rappa, Michael (2001). "Business Models on the Web". *North Carolina State University,* (9 April): http://ecommerce.ncsu.edu/business_models.html.

Rayport, Jeffrey F. (1999). "The Truth about Internet Business Models". *Strategy+Business,* (26 July): www.strategy-business.com/briefs/99301/page1.html.

Rettie, Ruth, (2001), Kingston University, UK **-** How Will the Internet Change Marketing?

Roger Best, (2005) - Market-Based Management: *Strategies For Growing Customer Value and Profitability,* fourth edition,Pearson Prentice Hall.

Sadeh N, (2002 ), M-commerce: technologies, services, and business models. New York, Wiley.

Sarkar, Mitra, Brian Butler, and Charles Steinfield (1995), Intermediaries and Cybermediaries: A Continuing Role for Mediating Players in the Electronic Marketplace", Journal of Computer Mediated Communication Vol.1, No.3.

Singleton, Susan. *E-mail : Legal Issues.* London, , GBR: Thorogood, 2004. Web access – www.singlelaw.com.

SiteProNews (2009) – Webmaster resources, available from: http://www.sitepronews.com (accessed 03/03/09).

Steinfeld, Charles Kraut, Robert and Plummer, Alice (1995). “The impact of electronic commerce on buyer-seller relationships”. *Journal of Computer-Mediated Communication,* 1(3). http://jcmc.huji.ac.il/vol1/issue3/steinfld.html.

Sweeney Susan, MacLallan Andy, Dorey Ed, (2007) – 3G Marketing on the Internet: *Third Generation Internet Marketing Strategies For Online Success*, 7th Edition, Maximun Press, p. 140 – 145.

TMC Net. “2006 Will Be the Year of Mobile Advertising Experimentation,” says visiongain report. TMC net news; 2006. March 16.

Tsang MM, Ho SC, Liang TP, - Consumer attitudes toward mobile advertising: an empirical study. Int J Electron Commer 2004;8: 65 –7 8 (Spring).

van Tongeren T, de Lussanet M, Favier J, Jennings R.Mobile campaigns that don't annoy: how should marketers create successful SMS campaigns? Trends. Forrester research; 2004. March 8.

Web Marketing Workshop – www.webmarketingworkshop.com.au/marketing-solutions.php (Accessed 16/1/09).

WebProNews (2009) – Breaking eBusiness and search news, available from: http://www.webpronews.com (accessed 03/03/09).

Webstatistics.com – (Accessed 18/5/08).

Wikipedia (2009) - Standard Deviation, Available from: http://en.wikipedia.org/wiki/Standard_deviation (accessed 26/02/09).

Yann A. Gourvennec – *Visionary Marketing*: From the understanding of complex customers to the design of Marketing-orientated information systems *(***M.O.I.S.***)*(1996).

# APPENDIX (A) - SURVEY QUESTIONNAIRE

## ICT in Marketing: A Study of The Use of Internet and Mobile Phones in Five Selected Companies in Dublin

**Blekinge Institute of technology, Sweden - MBA Research Thesis Questionnaire.**
**This questionnaire is targeted at the marketing/IT departemnt.**
**This will take only a few minutes of your time. Your response will be much appreciated as it will throw more light into this area of study. Thank you.**

**Answer to questions marked with an * are required.**

(1) **Please provide the following details about you: * (Mkt/Mgm/Sales/IT Dept. = 2 points).**
Company:
Department:

(2) Does your company have a website? * (Yes = 2 points).
Yes/No

(3) What form of marketing does your organisation undertake more? * (this is of importance from 5 to 1 for this study).
(a) TV - (3)
(b) Newspaper/Magazine - (2)
(c) Mail - (1)
(d) Email/Web - (5)
(e) Mobile Phone (SMS/MMS) - (4)

(4) How often do you advertise with your website? * (this is of importance from 5 to 1).
Very often/Often/moderately/Seldom/Never

(5) How often do you advertise with email? * (this is of importance from 5 to 1).
Very often/Often/moderately/Seldom/Never

(6) How often do you advertise with SMS/MMS? * (this is of importance from 5 to 1).
Very often/Often/moderately/Seldom/Never

(7) What is the frequency of your email marketing to customers/clients per week? * (this is of importance from 1 to 5).
5 times/4 times/3 times/2 times/ 1 time

(8) What is the frequency of your SMS/MMS marketing to customers/clients per week? * (this is of importance from 1 to 5).
5 times/4 times/3 times/2 times/ 1 time

(9) What is the percentage use of your internet marketing to mobile phone marketing? * (this is of importance from 5 to 0).
100%/80%/60%/40%/20%/0%

(10) What is the percentage use of your mobile phone marketing to internet marketing? * (this is of importance from 5 to 0).
100%/80%/60%/40%/20%/0%

(11) Why or why don't you use internet marketing more? * (Nil).

(12) Why or why don't you use mobile phone marketing more? * (Nil).

(13) How often is your website content updated? * (this is of importance from 5 to 1).
Very often/Often/moderately/Seldom/Never

(14) How often do you change the message in your email marketing? * (this is of importance from 5 to 1).
Very often/Often/moderately/Seldom/Never

(15) Are your email marketing messages plain, html or both? (Both = 2 points).
plain/html/both

(16) How fast on an average does your website download? * (this is of importance from 5 to 1).
10 sec/15 sec/20 sec/ 25 sec/30 sec

(17) What type of design does your website have – in terms of graphics, java scripts, flash etc? * (this is of importance from 1 to 5).
very heavy/heavy/very light/light/moderate

(18) Do you have a flash design, a static design or both? * (Flash = in form of a shock-wave movie, Static = Plain non shock-wave movie) – (Both = 2 points).
Flash design/Static design/Both

(19) Is your website navigation friendly? *i.e. the ease at which visitors can move around, click and find what they want. (this is of importance from 5 to 1).
Very friendly/friendly/moderate/unfriendly/very unfriendly

(20) Does your website have the ability for visitors/customers to sign-up for your newsletter by their names, email and gender? (Yes = 2 points).
Yes/No/other

(21) Does your company take into cognisance the laws against spamming? (Yes = 2 points).
Yes/No

(22) Is your website mobile phone friendly? i.e. how does it render on a mobile phone browser. (this is of importance from 1 to 5).
Very distorted/distorted/moderate/undistorted/very undistorted

(23) How often are your staff trained or updated about ICT use (internet and mobile phone)? (this is of importance from 5 to 1).
Very often/Often/moderately/Seldom/Never

(24) Does your company undertake web SEO (search engine optimisation), SEM (search engine marketing), link popularity and general monitoring? (Yes = 2 points).
Yes/No

(25) Does your company undertake web analytics (finding out the effect of your web presence – in terms of site/page views and conversion rates)? (Yes = 2 points).
Yes/No
(26) How often do you update your ICT infrastructure in terms of software and hardware? (this is of importance from 5 to 1.)
Very often/Often/moderately/Seldom/Never

(27) If you have answered most of the questions above positively, then you may believe in the importance of ICT in marketing, data mining, and eCRM (electronic customer relationship management). Please confirm below: (Yes = 2 points).
Yes/No

(28) Please give other information about your ICT use in marketing below that you otherwise cannot give above: (Additional info = 2 points).

**On behalf of myself and Blekinge Institute of Technology, Sweden - I say thank you for your patience and time taken to answer the above questions.**

# APPENDIX (B) - RESPONDENTS

Page 1. ICT in Marketing: The Use of Internet and Mobile Phones in Five Selected Companies in Dublin

1. Please provide the following details about you:

1. Company: AIB
   Department: Brand Management
2. Company: Grafton Litho
   Department: Sales
3. Company: EEC Hardware Ltd
   Department: Accounts Dept
4. Company: Tenddeapact Solutions
   Department: Marketing
5. Company: South African Son Rise
   Department: Management

| | |
|---|---|
| Number of Respondents | 5 |
| Number or respondents who skipped this question | 0 |

| 2. Does your company have a website? | % of Respondents | Number of Respondents |
|---|---|---|
| yes | 80.00% | 4 |
| no | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 3. What form of marketing does your organisation undertake more? | % of Respondents | Number of Respondents |
|---|---|---|
| TV | 20.00% | 1 |
| Newspaper/Magazine | 20.00% | 1 |
| Mail | 0.00% | 0 |
| Email/Web | 60.00% | 3 |
| Mobile Phone (SMS/MMS) | 0.00% | 0 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 4. How often do you advertise with your website? | % of Respondents | Number of Respondents |
|---|---|---|
| very often | 20.00% | 1 |
| often | 20.00% | 1 |
| moderately | 20.00% | 1 |
| seldom | 20.00% | 1 |
| never | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 5. How often do you advertise with email? | % of Respondents | Number of Respondents |
|---|---|---|
| very often | 0.00% | 0 |
| often | 20.00% | 1 |
| moderately | 0.00% | 0 |
| seldom | 40.00% | 2 |
| never | 40.00% | 2 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 6. How often do you advertise with SMS/MMS? | % of Respondents | Number of Respondents |
|---|---|---|
| very often | 0.00% | 0 |
| often | 0.00% | 0 |
| moderately | 40.00% | 2 |
| seldom | 0.00% | 0 |
| never | 60.00% | 3 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 7. What is the frequency of your email marketing to customers/clients per week? | % of Respondents | Number of Respondents |
|---|---|---|
| 5 times | 0.00% | 0 |
| 4 times | 0.00% | 0 |
| 3 times | 20.00% | 1 |
| 2 times | 0.00% | 0 |
| 1 time | 80.00% | 4 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 8. What is the frequency of your SMS/MMS marketing to customers/clients per week? | % of Respondents | Number of Respondents |
|---|---|---|
| 5 times | 0.00% | 0 |
| 4 times | 0.00% | 0 |
| 3 times | 0.00% | 0 |
| 2 times | 20.00% | 1 |
| 1 time | 80.00% | 4 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 9. What is the percentage use of your internet marketing to mobile phone marketing? | % of Respondents | Number of Respondents |
|---|---|---|
| 100% | 0.00% | 0 |
| 80% | 40.00% | 2 |
| 60% | 20.00% | 1 |
| 40% | 0.00% | 0 |
| 20% | 40.00% | 2 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 10. What is the percentage use of your mobile phone marketing to internet marketing? | % of Respondents | Number of Respondents |
|---|---|---|
| 100% | 0.00% | 0 |
| 80% | 0.00% | 0 |
| 60% | 20.00% | 1 |
| 40% | 0.00% | 0 |
| 20% | 80.00% | 4 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

11. Why or why don't you use internet marketing more?

1. I use Internet marketing more because it is more convenient.
2. Use it often. Percentage is probably more 90/10 than 80/20.
3. We use printed material to convay our message and quality at the same time
4. We only advertise in local papers and flyers
5. effective and to the point

| | |
|---|---|
| Number of Respondents | 5 |
| Number or respondents who skipped this question | 0 |

12. Why or why don't you use mobile phone marketing more?

1. Mobile phone marketing faces a lot of privacy issues, hence hadly used.
2. Restrictions in relation to CPC (Consumer Protection Code) and also up to recently we did not capture mobile phone information. Used for 3rd Level campaign and Better Ireland Programme campaign with good effect.
3. We do not find it effective
4. As Above
5. more effective,everyone will open and read his/her text

| | |
|---|---|
| Number of Respondents | 5 |
| Number or respondents who skipped this question | 0 |

| 13. How often is your website content updated? | % of Respondents | Number of Respondents |
|---|---|---|
| very often | 20.00% | 1 |
| often | 0.00% | 0 |
| moderately | 40.00% | 2 |
| seldom | 20.00% | 1 |
| never | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 14. How often do you change the message in your email marketing? | % of Respondents | Number of Respondents |
|---|---|---|
| very often | 0.00% | 0 |
| often | 20.00% | 1 |
| moderately | 0.00% | 0 |
| seldom | 40.00% | 2 |
| never | 40.00% | 2 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 15. Are your email marketing messages plain, html or both? | % of Respondents | Number of Respondents |
|---|---|---|
| plain | 100.00% | 5 |
| html | 0.00% | 0 |
| both | 0.00% | 0 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 16. How fast on an average does your website download? | % of Respondents | Number of Respondents |
|---|---|---|
| 10 sec | 20.00% | 1 |
| 15 sec | 40.00% | 2 |
| 20 sec | 0.00% | 0 |
| 25 sec | 20.00% | 1 |
| 30 sec | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 17. What type of design does your website have - in terms of graphics, java scripts, flash etc? | % of Respondents | Number of Respondents |
|---|---|---|
| very heavy | 0.00% | 0 |
| heavy | 20.00% | 1 |
| moderately | 40.00% | 2 |
| light | 20.00% | 1 |
| very light | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 18. Do you have a flash design, a static design or both? (Flash = in form of a shock-wave movie, Static = Plain non shock-wave movie) | % of Respondents | Number of Respondents |
|---|---|---|
| flash design | 0.00% | 0 |
| static design | 60.00% | 3 |
| both | 40.00% | 2 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 19. Is your website navigation friendly? i.e. the ease at which visitors can move around, click and find what they want. | % of Respondents | Number of Respondents |
|---|---|---|
| very friendly | 20.00% | 1 |
| friendly | 60.00% | 3 |
| moderately | 0.00% | 0 |
| unfriendly | 0.00% | 0 |
| very unfriendly | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 20. Does your website have the ability for visitors/customers to sign-up for your newsletter by their names, email and gender? | % of Respondents | Number of Respondents |
|---|---|---|
| yes | 20.00% | 1 |
| no | 60.00% | 3 |
| we have none | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 21. Does your company take into cognisance the laws against spamming? | % of Respondents | Number of Respondents |
|---|---|---|
| yes | 80.00% | 4 |
| no | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 22. Is your website mobile phone friendly? i.e. how does it render on a mobile phone browser. | % of Respondents | Number of Respondents |
|---|---|---|
| very distorted | 0.00% | 0 |
| distorted | 0.00% | 0 |
| moderate | 60.00% | 3 |
| undistorted | 20.00% | 1 |
| very undistorted | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 23. How often are your staff trained or updated about ICT use (internet and mobile phone)? | % of Respondents | Number of Respondents |
|---|---|---|
| very often | 20.00% | 1 |
| often | 20.00% | 1 |
| moderately | 20.00% | 1 |
| seldom | 0.00% | 0 |
| never | 40.00% | 2 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 24. Does your company undertake web SEO (search engine optimisation), SEM (search engine marketing), link popularity and general monitoring? | % of Respondents | Number of Respondents |
|---|---|---|
| yes | 60.00% | 3 |
| no | 40.00% | 2 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 25. Does your company undertake web analytics (finding out the effect of your web presence – in terms of site/page views and conversion rates)? | % of Respondents | Number of Respondents |
|---|---|---|
| yes | 60.00% | 3 |
| no | 40.00% | 2 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 26. How often do you update your ICT infrastructure in terms of software and hardware? | % of Respondents | Number of Respondents |
|---|---|---|
| very often | 20.00% | 1 |
| often | 20.00% | 1 |
| moderately | 40.00% | 2 |
| seldom | 0.00% | 0 |
| never | 20.00% | 1 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

| 27. If you have answered most of the questions above positively, then you may believe in the importance of ICT in marketing, data mining, and eCRM (electronic customer relationship management). Please confirm below: | % of Respondents | Number of Respondents |
|---|---|---|
| yes | 60.00% | 3 |
| no | 40.00% | 2 |
| Number of respondents | | 5 |
| Number or respondents who skipped this question | | 0 |

28. Please give other information about your ICT use in marketing below that you otherwise cannot give above:

1. The above anwsers just about most of it.

| | |
|---|---|
| Number of Respondents | 1 |
| Number or respondents who skipped this question | 4 |

## APPENDIX (C) - INTERVIEW QUESTIONS

(1) Do you use ICT in marketing?
(2) Which ICT technique in terms of email & SMS/MMS do you use more?
(3) What is your reason for using a particular ICT technique more?
(4) How do you collect data (email, phone, name and gender) for your ICT use and and eCRM purposes?
(5) Do you have a website?
(6) If yes. Do you advertise on your website? And what way do you advertise?
(7) Does your website have the facility for on-line payments (via merchant account or Paypal etc.)?
(8) What is your general perception about ICT in terms of marketing budget and public/customer response?
(9) Do you carry out metrics of performance on your ICT use in marketing?
(10) What is the impact of marketing with ICT on your company revenue and value?

## APPENDIX (D) - PROOF OF VALIDITY (EMAILS & IP ADDRESSES)

ICT in Marketing: The Use of Internet and Mobile Phones in Five Selected Companies in Dublin

**Respondent Type:** Customer
**Name:** Marketing/IT Dept.
**Email address:** fiona.e.curtin@aib.ie
**IP address:** 194.69.198.242

**Custom Data 1:** AIB
**Custom Data 2:** Balbriggan
**Custom Data 3:** Dublin
**Survey Started:** 02/09/2009, 11:12 AM GMT
**Survey Ended:** 02/09/2009, 11:12 AM GMT

ICT in Marketing: The Use of Internet and Mobile Phones in Five Selected Companies in Dublin

**Respondent Type:** Customer
**Name:** Marketing/IT Dept.
**Email address:** info@eechardware.ie
**IP address:** 86.43.101.176

**Custom Data 1:** Arro Home & Garden
**Custom Data 2:** Balbriggan
**Custom Data 3:** Dublin
**Survey Started:** 02/18/2009, 11:51 AM GMT
**Survey Ended:** 02/18/2009, 11:51 AM GMT

ICT in Marketing: The Use of Internet and Mobile Phones in Five Selected Companies in Dublin

**Respondent Type:** Customer
**Name:** Marketing/IT Dept.
**Email address:** jeff.downes@graftonlitho.ie
**IP address:** 83.71.238.170

**Custom Data 1:** Grafton Litho Ltd
**Custom Data 2:** Hanover Street East
**Custom Data 3:** Dublin 2
**Survey Started:** 02/09/2009, 12:12 PM GMT
**Survey Ended:** 02/09/2009, 12:12 PM GMT

ICT in Marketing: The Use of Internet and Mobile Phones in Five Selected Companies in Dublin

**Respondent Type:** Customer
**Name:** Marketing/IT Dept.
**Email address:** info@sasonrise.com
**IP address:** 78.152.198.112

**Custom Data 1:** SaSonrise Entertainment
**Custom Data 2:** Dublin
**Custom Data 3:** Dublin
**Survey Started:** 02/20/2009, 11:23 AM GMT
**Survey Ended:** 02/20/2009, 11:23 AM GMT

ICT in Marketing: The Use of Internet and Mobile Phones in Five Selected Companies in Dublin

| | |
|---|---|
| **Respondent Type:** Customer | **Custom Data 1:** Tenddeapact Solutions |
| **Name:** Marketing/IT Dept. | **Custom Data 2:** Dublin |
| **Email address:** info@tenddeapact.com | **Custom Data 3:** Dublin |
| **IP address:** 78.16.155.97 | **Survey Started:** 02/19/2009, 08:32 AM GMT |
| | **Survey Ended:** 02/19/2009, 08:32 AM GMT |